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CORPORATE INFORMATION
Maelezo ya Shirika

DIRECTORS
J P M Ndegwa - Chairman
F M Mbiru - Vice Chairman
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G A Maina
F N Mwanzia
A S M Ndegwa
I Ochola-Wilson
M L Somen
A Dodd*
* British

AUDIT AND COMPLIANCE COMMITTEE
F N Mwanzia - Chairman
F M Mbiru
A S M Ndegwa

CREDIT AND RISK COMMITTEE
F M Mbiru - Chairman
F N Mwanzia
A S M Ndegwa
M L Somen

NOMINATIONS COMMITTEE
G A Maina - Chairman
J P M Ndegwa
M L Somen

EXECUTIVE COMMITTEE
A S M Ndegwa - Chairman
G A Maina
M L Somen

HUMAN RESOURCES AND COMPENSATION COMMITTEE
I Ochola-Wilson- Chairman
F M Mbiru
A S M Ndegwa

SECRETARY
L Murage
NIC House, Masaba Road
P O Box 44599
Nairobi-GPO 00100

REGISTERED OFFICE
NIC House
Masaba Road
P O Box 44599
Nairobi-GPO 00100

REGISTRARS AND TRANSFER OFFICE
Custody and Registrar Services Limited
1st Floor,
Bank House
Moi Avenue
P O Box 8484
Nairobi-GPO 00100

AUDITORS
Deloitte & Touche
"Kirungii", Ring Road, Westlands
P O Box 40092
Nairobi-GPO 00100

PRINCIPAL CORRESPONDENTS
American Express Bank
Citibank N.A
Deutsche Bank

BRANCHES

NIC Hse Branch, Masaba Rd
P O Box 44599 - 00100 GPO Nairobi
Tel: 2888000/ 2718200
0722 203885/6/7 0734 600008/9
Fax: 2888505/512

City Centre Branch
Prudential Building, Junction of Kaunda & Wabera Street
P O Box 30090 - 00100 GPO Nairobi
Tel: 229251/2/ 341705/6
0720 255977/ 0734 333262
Fax: 251180

Westlands Branch
The Mall
P O Box 44599 - 00100 GPO
Tel: 4451721/2/ 4450882
Fax: 4450847

The Junction Branch
Ngong Rd,
P O Box 44599 - 00100 GPO
Tel: 3874730/ 3878204
Fax: 3875436

Harbour Hse Branch - Mombasa
Harbour Hse Building, Moi Avenue
P O Box 99797 - 80107 Mombasa
Tel: 041 - 2223215/53
0722 209512/ 0734 965397
Fax: 041 - 2223255

Nakuru Branch - Nakuru
Vickers House, Moi Ave
P O Box 136414 - 20100 Nakuru
Tel: 2216624/2216668/ 2216688
Fax: 2216761

SERVICE CENTRES

NIC Hse Building, Masaba Rd,
P O Box 44599 - 00100 GPO Nairobi
Tel: 2888217/218
0722 203885/6/7 0734 600008/9
Fax: 2888523

Hilton Building, City Hall Way
P O Box 44599 - 00100 GPO Nairobi
Tel: 210444/589/ 219249
Fax: 2888523

20th Century Plaza, Mama Ngina Street
P O Box 44599 - 00100 GPO Nairobi
Tel: 213408/223908
Fax: 2888523

The Mall, Ring Road, Westlands
P O Box 44599 - 00100 GPO Nairobi
Tel: 4451719/20/ 4450846
Fax: 4450847

Jeevan Bharat Bldg, Harambee Ave
P O Box 44599 - 00100 GPO Nairobi
Tel: 253429/210661/9
0723 786203/ 0736 660011
Fax: 211757

Prestige Plaza, Ngong Road
P O Box 44599 - 00100 GPO Nairobi
Tel: 3874073/50/ 3873970
Fax: 2888523

Jubilee Building, Moi Avenue, Mombasa
P O Box 99797 - 80107 Mombasa
Tel: 041 2228397/2221743/2229399
Fax: 041 2223535

Nyali Nakumatt, Nyali, Mombasa
P O Box 99797 - 80107 Mombasa
Tel: 041 5487683/4
0735 339004/ 0721 100873
Fax: 041 5487682

Email: info@nic-bank.com

Website: www.nic-bank.com

J P M Ndegwa
(Chairman)

Mr. Ndegwa, aged 43, holds an MA degree from Oxford University, UK, and is an Associate of the Chartered Insurance Institute, UK. He is the Chairman of First Chartered Securities Limited and a director of several companies. Prior to his present position, he was the Managing Director of Lion of Kenya Insurance Company until 2003. He joined the NIC Board on 19th November 2003.

J W Macharia
(Managing Director)

Mr. Macharia, aged 48, has a B. Comm (Hons) degree from University of Nairobi and an MBA from Henley Management College, UK. He is a Chartered Accountant (Institute of Chartered Accountants in England and Wales), as well as a Certified Public Accountant (Institute of Certified Public Accountants of Kenya). He has been Managing Director of various companies within the African Banking Corporation (ABC) Group, in both Zambia and Tanzania. He joined NIC Bank in May 2005 as Managing Director, and was appointed to the NIC Board on 1st May 2005.

A J Dodd
(Executive Director)

Mr. Dodd, aged 52, has a BA (Hons) degree in Economics from Portsmouth University, UK. He is an Associate of the Chartered Institute of Bankers. He has extensive regional and international banking experience covering East and Southern Africa, Middle East and the Far East. He joined NIC Bank in January 2006 as Head of Corporate Business, and was appointed to the NIC Board on 22nd February 2006.

MEMBERS OF THE BOARD
Wakurugenzi

F M Mbiru
(Non-Executive Director)

Mr. Mbiru, aged 69, has a BA (Hons) degree from Makerere University and is an Associate of the Chartered Institute of Bankers. He is currently a Management Consultant and a director of several companies having retired as General Manager of Barclays Bank of Kenya in 1993. He joined the NIC Board on 16th February 1993.

I Ochola-Wilson
(Non-Executive Director)

Mrs. Ocholla-Wilson, aged 58 has a BA degree from Dar-es-Salaam University and an MBA from University of British Columbia, Canada. She is currently a Business Consultant having retired as a Project Manager for DFID's Business Partnership Programme in 2005. She joined the NIC Board on 5th November 1999.

G A Maina
(Non-Executive Director)

Mr. Maina, aged 55, has a BTech (Hons) degree in Aeronautical Engineering and Design from Loughborough University, UK. He is currently a Business Consultant and a director of several companies. He has extensive experience in the Oil Industry in Africa, Caribbean and Central America including being Managing Director of Kenya Shell and BP Kenya Limited from 1998 to 2002. He joined the NIC Board on 1st June 2002.

M L Somen
(Non-Executive Director)

Mr. Somen, aged 70, is a Barrister-at-Law, Grays Inn, England, and holds an MA (Hons) degree from Brasenose College, Oxford. He is an Advocate of the High Court of Kenya, and a Consultant with Hamilton Harrison and Mathews having retired from the firm as Senior Partner in 2002. He joined the NIC Board on 21st February 2001.

A S M Ndegwa
(Non-Executive Director)

Mr. Ndegwa, aged 39, holds a MA (Hons) degree in Philosophy, Politics and Economics from Oxford University, UK. He is the Executive Director of First Chartered Securities Limited and a director of several companies. He previously worked for Citibank and AMBank until 1995. He joined the NIC Board on 23rd April 1997.

F N Mwanzia
(Non-Executive Director)

Mr. Mwanzia, aged 62, has a B. Comm (Hons) degree from University of Nairobi and is a qualified member of the Association of Chartered Certified Accountants, UK and Chartered Institute of Secretaries and Administrators, UK. He is also a member of ICPAK and ICPSK. He is currently a businessman having retired as Group Financial Controller and Company Secretary of NAS Airport Services in 1999. He joined the NIC Board on 3rd August 1995.

L Murage
(Company Secretary)

Mr. Murage aged 49, has a B. Comm (Hons) degree from University of Nairobi and is a Certified Public Accountant and a Certified Public Secretary. He is also a member of ICPAK and ICPSK. He previously worked for Pricewaterhouse and Mobil Oil, before joining the banking sector in 1986. He is Head of Finance and Administration and was appointed Company Secretary on 2nd September 1999.

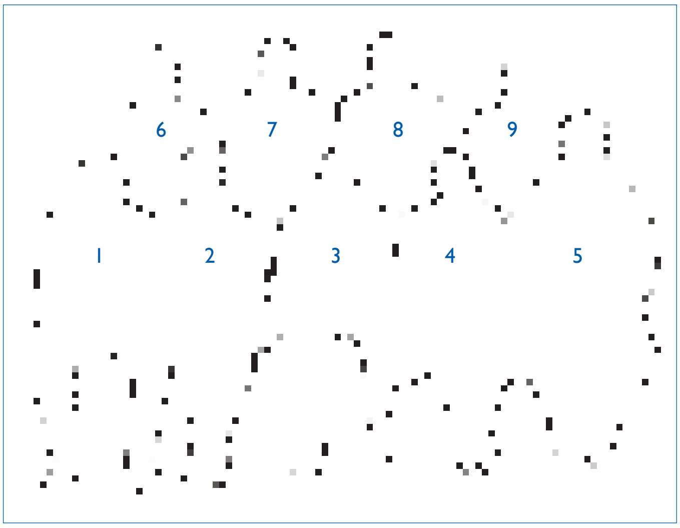
SENIOR MANAGEMENT
Usimamizi Mkuu

Seated (Left to Right)

1.	L Murage	-	Head of Finance and Administration
2.	J Thairo	-	Head of Personal Banking
3.	J W Macharia	-	Managing Director
4.	E Kihara	-	Head of Asset Finance
5.	A Dodd	-	Head of Corporate Business

Standing (Left to Right)

6.	D Kiambi	-	Head of Human Resources
7.	J Muchiri	-	Head of Technology and Operations
8.	S Mandavia	-	Head of Treasury
9.	J Wanyika	-	Head of Risk



J P M Ndegwa (Chairman)

I am delighted to present the Annual Report and Financial Statements of NIC Bank for the year ended 31 December 2006.

THE ECONOMY

The economic revival which commenced in 2003 and continued into subsequent years, was sustained in 2006. The country's GDP growth rate is estimated to have been 6% in 2006 compared with 5.8% in 2005. This growth and expansion is a reflection of the increased investor confidence in Kenya's economy particularly in tourism, telecommunications, energy, construction and manufacturing sectors. The output in the agricultural sector especially horticulture, coffee and sugarcane increased in 2006, as the climatic conditions for these crops were favourable during the year.

During the year 2006, overall inflation generally fluctuated between 10% and 20% mainly because of increasing prices of the "food and non alcoholic drinks" and "fuel and power" categories of goods and services. The average annual inflation was at 13.9%, with the month-on-month overall inflation closing at 9.7% as at end of January 2007, down from 15.6% in December 2006.

In the foreign exchange market, the shilling remained relatively strong against most international currencies, mainly supported by significant inflows of foreign currencies from tourism, agricultural exports and remittances from Kenyans abroad.

e-banking

Interest rates remained stable in 2006 in line with continued stability in the macroeconomic conditions with Treasury bill rates averaging 6.5%

On the Capital Markets, trading at the Nairobi Stock Exchange (NSE) remained vibrant during the year with the NSE share index surpassing the 5,000 mark to close December 2006 at 5,645 up from 3,973 in December 2005. The annual equity turnover increased from Sh.36.5 billion in 2005 to Sh.95 billion in 2006 on the back of rising stock prices supported by strong corporate earnings by most companies.

The banking sector remained stable mainly due to favourable macroeconomic conditions with most banks reporting considerable improvements in their earnings compared to 2005.

FINANCIAL RESULTS

The Bank has achieved a profit before tax of Sh.677 million for the year 2006 which is an increase of 59% over 2005.

The total assets of the Bank grew from Sh.20.7 billion in 2005 to Sh.26.1 billion in 2006. Advances to customers, which comprise 64% of the Bank's total assets, increased by 16% arising from increased lendings to the productive sectors of the economy that contribute to employment and wealth creation. Despite the very competitive environment in the banking sector, the Bank achieved an impressive growth in deposit liabilities of 33%, to close the year at Sh. 22.0 billion.

Institutional Banking

Further, the growth in earning assets resulted in a significant increase in revenue, with total interest income rising by 22% to Sh.2.4 billion, and non-interest income up by 42% to Sh.528 million. It is worth noting that income from foreign exchange trading increased by 229% to Sh.146 million following a change in strategic focus and the up scaling of human resources.

However, with the substantial increase in the deposit base, the interest expense rose by 18% over the previous year. The operational costs recorded an increase of 26%, which was mainly attributable

Trade Finance

to higher staff costs following rationalization and restructuring to ensure the Bank is well placed to achieve its medium to long term strategic objectives.

DIVIDEND

In recognition of the improved performance of the Bank, the Board of Directors has recommended a final dividend of Sh.1.90 per share (total dividend Shs.2.70 per share) which is an increase of 8% over the previous year. The total dividend to be paid out represents 49% of profit after tax.

SERVICE OUTLETS AND PRODUCTS

The Bank recognizes that in a competitive banking environment, innovation and service level delivery are critical and differentiating factors. In this respect, the Bank is continuously introducing new technology based products and has also converted the eight "Move Zones" into quasi-branches where all Bank customers can get service and cash from the ATMs. In addition to our nineteen ATMs, our customers have access to over one hundred Pesa Point ATMs which are spread throughout the country. And with the MOVE Freedom Visa cards, our customers can now make purchases and payments all over the world.

RECOGNITION

The Bank continues to obtain favourable credit rating from Fitch, an internationally recognized rating agency of the global financial sector.

Further, the Bank was in 2006 declared the overall winner in the Corporate Governance category under Financial Reporting Awards for Excellence (FIRE Awards) organized by the Institute of Certified Public Accountants of Kenya, the Capital Markets Authority and the Nairobi Stock Exchange.

SOCIAL RESPONSIBILITY

The Bank takes cognizance of the wider society and the greater environment within which the business operates and has therefore continued to support needy projects in education, health and conservation of the environment. Among other donations in 2006, the Bank provided assistance to needy girls at Starehe Girls Center, support of children in need of cardiac treatment through the Dettol-Mater Hospital Heart Run, and contributed to the environmental protection and enhancement activities of the Nairobi Arboretum.

Young Movers

OUTLOOK

In 2007, we anticipate favourable weather conditions, steady world oil prices, and stable Kenya Shilling exchange and interest rates in line with continued stability in the macroeconomic conditions. These factors, including the Central Bank of Kenya's continued implementation of appropriate monetary policy, should lead to a low and stable rate of inflation.

Competition in the Banking Sector is expected to intensify but the Bank is well positioned to enhance its balance sheet growth and profitability through increased market share in the niche market of asset finance, diversity in product offerings, an expanded footprint with the opening of a branch in Nakuru and the launch of investment banking under NIC Capital Limited. The latter is a wholly owned subsidiary of the Bank and will offer market financial advisory services, which will contribute to the non-funded income of the Bank.

These and other strategic initiatives to be implemented in 2007 will contribute substantially towards the enhancement of shareholder value.

APPRECIATION

I wish to thank all our customers and business partners for their continued support to the Bank without which we could not have achieved such pleasing results we are reporting for 2006.

We also appreciate the role and guidance of the regulatory authorities particularly the Central Bank of Kenya and the Capital Markets Authority.

I also wish to express my appreciation to the Management and the entire staff for their hard work and dedication in achieving these good results and count on their continued commitment. To my fellow directors, I remain most grateful for their diligence in executing their responsibilities as members of the Board and its various committees which are noted elsewhere in the Financial Report.

Finally, the strong support and loyalty of all our shareholders over the years is much appreciated and we assure them of our continued commitment to enhancing shareholder value.

Thank you

J P M Ndegwa

Ninayo furaha kuliwasilisha Ripoti hili la kila mwaka na Taarifa za Hesabu na Fedha za Benki ya NIC za mwaka uliokamilika 31 Desemba, 2006.

UCHUMI

Ufufuo wa uchumi ulioanza mwaka wa 2003 na ukaendelea katika miaka iliyofuatia, uliendelezwa mwaka wa 2006. Thamani ya jumla ya bidhaa na huduma (GDP) nchini imekadiriwa kukua kwa kiwango cha sita kwa kila mia ikilinganishwa na tano nukta nane kwa mia ya mwaka wa 2005. Ukuaji huu na mapanuo yaonyesha matumaini yalioongezeka ya uwekezaji raslimali katika uchumi wa Kenya, hasa katika sekta za utalii, mawasiliano, nguvu, ujenzi na uundaji. Mapato katika sekta ya kilimo hasa katika maua , kahawa na sukari yaliongezeka mwaka uliopita kwa sababu tabia ya nchi (yaani joto, baridi, upepo, mvua na kadhalika) mwakani kwa mazao haya yalikuwa ya kuridhisha.

Kwa mwaka wa 2006, kiwango cha kupanda gharama mara nyingi kilipanda na kushuka kati ya kumi kwa mia na ishirini kwa mia kwa sababu hasa ya kuongezeka bei za "chakula na vinywaji visivyo pombe" na "mafuta na umeme" ya jamii ya bidhaa na huduma. Kiwango cha kupanda gharama cha wastani kwa mwaka kilikuwa kumi na tatu nukta tisa(13.9%) kwa mia na kile cha mwezi kwa mwezi kilifungika tisa nukta saba(9.7%) asilimia mnamo mwisho wa Januari mwaka huu, ikishuka kutoka asilimia kumi na tano nukta sita Desemba 2006

Katika soko la fedha za kigeni shilingi ilidumu kidhati dhidi ya sarafu nyingi za kimataifa, hasa ikihimiliwa na mijio ya maana ya fedha za kigeni kutokana na utalii, bidhaa za kilimo za kuuza ng'ambo na fedha kutoka kwa Wakenya walio ng'ambo.

Viwango vya riba vilibaki imara mwaka wa 2006 kulingana na kuendelea udhabiti katika mazingira ya uchumi huku hundi za hazina zikiwa sita nukta tano(6.5%) wastani.

Katika Masoko Makuu ya Fedha, biashara la Soko la Hisa la Nairobi (NSE) iliendelea kuimarika huku kiwango cha soko la hisa kikipita alama ya (5,000) na kufunga Desemba 2006 kwa alama ya (5645) ikiongezeka kutoka (3973) mwaka uliotangulia. Jumla ya mauzo na

ununuzi wa hisa iliongezeka kutoka shillingi thelathini na sita nukta tano(Shs. 36.5b) bilioni mwaka wa 2005 hadi tisini na tano(Shs. 95b) bilioni mwaka jana, ikihimilika kwa kuongezeka kwa bei za hisa na mapato mazuri kutoka mashirika mengi.

Sekta ya benki ilibaki imara kwa sababu ya mazingira ya kiuchumi ya kuridhisha huku, na benki nyingi zikiyaonyesha matokeo mazuri kuliko mwaka wa 2005.

MATOKEO YA KIFEDHA

Benki imeipata faida kabla ya ushuru ya shilingi mia sita na sabini na saba (Sh. 677) milioni kwa mwaka wa 2006, ikiwa ni ongezeko la asilimia hamsini na tisa(59%) ikilinganishwa na ile ya mwaka wa 2005.

Raslimali ya Benki ilikua kutoka bilioni ishirini nukta saba (Sh. 20.7b) mwaka wa 2005 hadi bilioni ishirini na sita nukta moja(Sh. 26.1b) katika mwaka wa 2006. Mikopo kwa wateja, iliyochangia asilimia sitini na nne(64%)kwa rasilmali ya Benki, iliongezeka kwa kiasi cha asilimia kumi na sita(16%) ikitokana na ongezeko la mikopo kwa sekta za uzalishaji mali zinazoongezea uajiri na utengenezaji wa mali. Licha ya kuwa na mazingira ya ushindani mwingi katika sekta ya benki, Benki ilipata ukuaji wa kupendeza katika akiba za wateja ya asilimia thelathini na tatu(33%) kufunga mwaka kwa shilingi ishirini na mbili bilioni(Sh. 22.0b).

Zaidi ya hayo, ukuaji katika mapato ya rasilmali ulizidisha ongezeko la maana katika mapato, huku mapato ya riba yakipanda kwa asilimia ishrini na mbili (22%) hadi shilingi bilioni mbili nukta nne(Sh. 2.4b), na yale yasiyo riba yakiongezeka kwa asilimia arobaini na mbili (42%) hadi shilingi milioni mia tano ishirini na nane (Sh. 528m). Inastahili kukumbukwa kwamba biashara kutokana na fedha za kigeni ilipanuka kwa asilimia mia mbili ishirini na tisa (229%) hadi shilingi milioni mia moja arobaini na sita (Sh. 146m) kufuatiwa mabadiliko ya kuyakazia matengeneo ya malego yetu na uajiriaji wa wafanyikazi wa hali ya juu.

Walakini ongezeko la akiba za wateja lilisabisha gharama ya riba kupanda hadi asilimia kumi na nane (18%) kuliko mwaka uliotangulia. Gharama ya kuendesha biashara ilipanuka hadi asilimia ishirini na sita (26%), ikitokana mara nyingi kwa nyongeza za mishahara kufuatia ugeuzi taratibu kuiwezesha Benki kuwa na nafasi nzuri zaidi ya kuyatimiza malengo yake ya wastani na ya siku za usoni.

MGAWO WA FAIDA

Katika kuyatambua matokeo mema ya Benki, Halmashauri ya Wakurungenzi inaupendekeza mgawo wa mwisho wa shilingi moja na peni tisa(Sh. 1.90) kwa hisa (mgawo wa jumla wa Sh. 2.70 kwa hisa) ambao ni ongezeko la asilimia nane(8%) kwa mwaka uliopita. Mgao wote unawasilisha asilimia arobaini na tisa (49%) faida baada ya ushuru.

MATUNDU YA HUDUMA NA BIDHAA

Banki yatambua kwamba katika mazingira ya ushindani, uzuzi na utoaji sawa wa huduma ni mawakili wenye kupambanua na kutofautisha. Kwa hivyo, Benki inaendelea kuleta bidhaa za teknolojia mpya na imeyabadili maeneo manane ya 'Move Zone' kuwa kama matawi ambapo wateja wote wa Benki wanaweza kuzipata huduma na pesa taslimu kutoka kwenye mitambo ya ATM. Isitoshe, kwa mitambo yetu kumi na tisa ya ATM, wateja wetu wanayo ruhusa kuitumia mitambo zaidi ya mia moja ya ' PesaPoint' iliyosambaa kote nchini. Na wakiwa na kadi ya 'Move Freedom' wateja wetu waweza kuzinunua bidhaa na kufanya malipo kote duniani.

UTAMBUZI

Benki yazidi kutunukiwa sifa ya kufaa ya kimataifa na shirika la ukadiriaji wa ulipaji madeni la Fitch linalojulikana sana kimataifa katika sekta ya kifedha.

Mbali na hayo, Benki ilitangazwa bingwa katika kikundi cha uraia wema wa kimashirika chini ya Zawadi za Ubora Katika Kuripoti Kifedha (FiRe awards) ilioandaliwa na Taasisi ya Uhasibu Kenya, Mamlaka ya Masoko Makuu na Soko la Hisa la Nairobi.

JUKUMU LA KIJAMII

Benki yatambua jamii yote kwa jumla na mazingira makubwa ambamo biashara hufanyika na kwa hivyo inaendelea kuihimili miradi inayohitajika katika elimu, afya, na utunzaji wa mazingira. Miongoni mwa misaada myengine mwaka jana, Benki ilitoa usaidizi kwa wasichana maskini pale Starehe Girls Centre, uhimili wa watoto maskini wanaohitaji matibabu ya moyo katika Dettol Matter Hospital Heart Run, na kuchangia ulindaji wa mazingira na kuendeleza shughuli za Nairobi Arborertum.

MATAZAMIO

Katika mwaka wa 2007, tunatumainia hali nzuri ya anga, bei imara za mafuta ulimwenguni na shillingi yenye nguvu zaidi dhidi ya sarafu za kigeni na viwango hodari vya riba kulingana na udhabiti katika mazingira ya uchumi. Matazamio haya, pamoja na Benki kuu ya Kenya kuendelea kuutekeleza mwongozo unaofaa wa kifedha, yatapasa kuongoza kwa kiwango cha gharama cha chini na imara.

Ushindani katika sekta ya Benki unatarajiwa kuwa mkali, lakini Benki ikatika nafasi nzuri ya ukuaji ya malengo yake ya kifedha na faida kupitia uongozaji wa fungu la soko la mikopo ya ununuzi mali, upeanaji wa bidhaa mbalimbali, upanuzi wa matawi kwa kulifungua tawi mjini Nakuru na kuanzishwa kwa Benki ya Uwekezaji chini ya jina la NIC Capital Limited (ambayo ni kampuni ndogo inayomilikiwa kabisa na Benki). Kampuni hii ndogo itatoa huduma za ushauri wa kifedha sokoni , ambayo itaendeleza mapato yasiyo riba ya Benki. Matendo haya na maarifa mengine ya kibiashara yatatekelezwa mwaka huu na yataongezea kwa wingi thamani ya rasilmali ya wenyehisa.

UTHAMINI

Ningependa kuwashehezea shukrani wateja na wenzi wa kibiashara kwa kuendelea kuihimili Benki na bila hao hatungeweza kuyapata matokeo haya ya kufana mwaka wa 2006.

Twawashukuru pia madaraka na mwongozo za Mashirika yenye Mamlaka ya Kifedha Sokoni, hasa Benki kuu ya Kenya na Mamlaka ya Masoko Makuu.

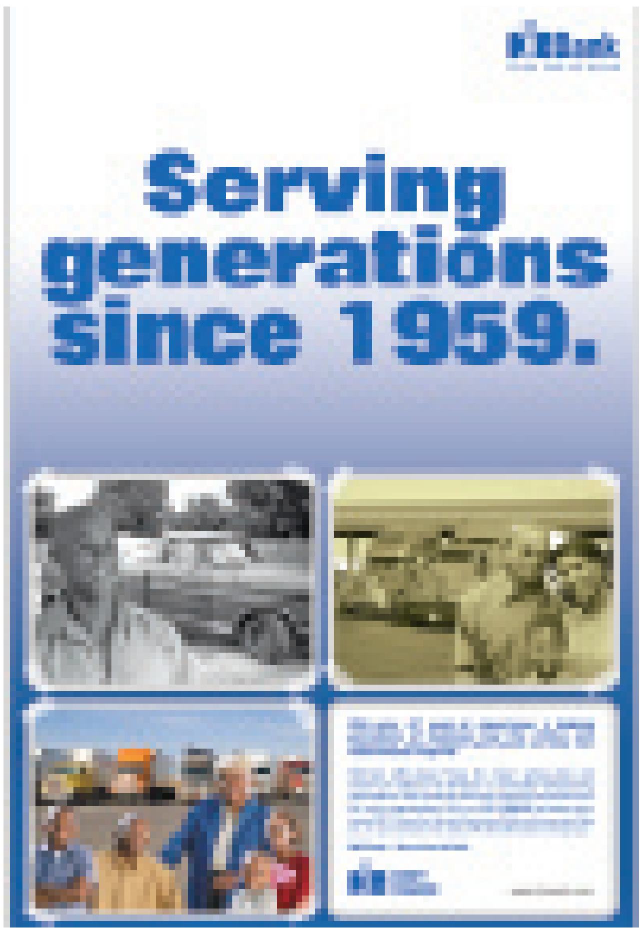
Ningependa pia kupeana uthamini wangu kwa usimamizi na wafanya kazi wa Benki kwa kufaulu kuyapata matokeo haya mazuri na ninawaomba waendelee na moyo uo huo.

Kwa Wakurugezi wenzangu, ninabaki na shukrani nyingi kwa bidii yao katika kuzitekeleza kazi zao kama wanachama wa Halmashauri na Kamati zake ambazo zimetajwa kwingine katika Taarifa hii ya Kifedha.

Mwishowe, uhimili imara na uaminifu wa wenye hisa wetu kwa miaka iliyopita unapendeza mno, na tunawaahidi tutaendelea kuizidisha raslimali yao.

Asanteni

J P M Ndegwa



The Board of Directors supports the application of best practice in corporate governance and has adhered to the guidelines on corporate governance practices developed by the Centre for Corporate Governance (CCG), the Capital Markets Authority for publicly listed companies in Kenya and the Central Bank of Kenya for the banking industry.

Corporate governance is the philosophy, discipline, systems and processes that ensures the business is being run in a transparent, just and equitable manner that ultimately protects the long-term future of all the shareholders of the Bank.

As in the previous years, NIC Bank endeavored to maintain good corporate governance in 2006 by focusing predominantly on ensuring compliance with the qualitative aspects of good governance in order to ensure that implementation matches the needs of the business.

Board of Directors

The Board consists of a Chairman, J P M Ndegwa, seven non-executive directors and two executive directors. The directors' biographies appear on page 3-5 of this Annual Report. All the non-executive directors are independent of management and have a diverse range of expertise and experience.

The roles of the Chairman and Managing Director are separate. The Chairman provides overall leadership to the Board without limiting the principles of collective responsibility for Board decisions. The Managing Director is responsible to the Board and takes responsibility for the effective and efficient running of the Bank on a day-to-day basis.

All the directors are subject to retirement by rotation and seek re-election by shareholders at least once every three years in accordance with the Articles of Association. Any director appointed during the year is required to retire and seek re-election at the next Annual General Meeting.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors are set out on page 41. Non-executive directors fees consist of a retainer and an attendance fee for Board and committee meetings.

Business transactions with the directors or their related parties are carried out at arms length and all such transactions are disclosed on page 58-59.

Responsibilities

The Board is responsible for setting the direction of the Bank. It meets quarterly to consider key issues such as compliance with statutory and regulatory requirements, review of monthly financial results, approval of quarterly publication of financial statements and any matters which would have a material effect on the Bank's financial position, future strategy or reputation.

To enable the Board to function effectively and allow directors to discharge their responsibilities, full and timely access is given to all relevant information. In case of Board meetings, this consists of a comprehensive set of papers, including regular business progress reports and discussion documents regarding specific matters. In addition, all directors have access to the advice and services of the Company Secretary, who is responsible for ensuring that the Board procedures are followed.

Conflicts of Interest

The directors of the bank are under a fiduciary duty to act honestly and in the best interests of the Bank. NIC Bank has put in place a policy to ensure that directors avoid putting themselves in positions where their self interests conflict with their duty to act in the best interest of the Bank. The directors make annual declarations of their interests which include: -

- An acknowledgement that should it come to their attention that a matter concerning the Bank may result in a conflict of interest, the director is obliged to declare the same and will exclude themselves from any discussion or decision over the matter in question,
- An acknowledgement that should the director be appointed to the board or acquire a significant interest in a business competing with the Bank, the director will be obliged to offer his/her resignation,
- An acknowledgment that the foregoing also applies to interests of immediate members of their families.

The Board and Director Evaluation.

The Nominations Committee of the Board has carried out an overall evaluation of the Board to assess its effectiveness and the required mix of skills and experience. The Committee confirmed that the Board effectively and satisfactorily carried out its role and responsibilities and has fulfilled its duties to the Bank's various stakeholders. The Board also exhibits a broad diversity of professional qualifications and depth of experience and is committed and dedicated to the well-being of the Bank.

The individual performance of the directors was also evaluated and all scored highly in the areas assessed, which included, amongst others, effective preparation for and participation at meetings, understanding of the Bank's core business, ability to take an independent view point, awareness and compliance with statutory guidelines, communication with fellow directors and regular attendance at Board and Committee meetings.

Committees of the Board.

The Board has in place an approval framework which specifically reserves matters for its decision issues such as adoption of strategy, appointment of key senior staff, approval of financial reports for publication, approval of budget and financial policies, review of operating results, risk management strategy and any significant capital expenditure.

Several committees of the Board have been established to assist the Board in discharging its responsibilities and obligations and it has also formulated terms of reference for each of these committees. However, the Board is cognizant that this does not detract from its ultimate accountability for the performance and good governance of the Bank.

The committees of the Board consist of non-executive directors and report regularly to the Board on their activities. Executive management and outside service providers and experts may attend committee meetings by invitation as circumstances dictate.

The Board has constituted the following committees: Audit and Compliance; Human Resource and Compensation; Nominations; Executive, and Credit and Risk Committees. Other ad hoc committees are set up as and when the need arises. Membership and attendance of these committees are provided on page 13. Details of these committees are outlined here below: -

- Audit and Compliance Committee

The committee is chaired by a non-executive director, F N Mwanzia, and comprises of two other non-executive directors. In addition, the Managing Director and Head of Internal Audit & Compliance are in attendance by invitation. Other Heads of Departments are invited as and when required. The external auditors may be invited to attend from time to time, but are required to do so at least once every year when the audited financial statements are being presented and reviewed.

The committee meets quarterly to review the financial reporting process, ensuring that adequate internal, financial and operating controls are addressed and monitored by Management. The committee reviews Internal Audit Reports and ensures that appropriate action has been taken and recommendations implemented.

- Credit and Risk Committee

This committee is made up of four non-executive directors chaired by F M Mbiru and meets at least once a month to consider and approve new credit applications and renewal of existing facilities within limits set by the Board. It also regularly reviews the credit policy of the Bank. The committee ensures that there are effective procedures to identify and manage irregular problem credits, minimize credit loss and maximize recoveries.

The Managing Director, the Executive Director, the Head of Risk and the Head of Finance are in attendance by invitation. Other senior managers are invited to attend as and when required.

- Nominations Committee

The committee meets on an ad hoc basis and is made up of three non-executive directors, chaired by G A Maina.

The committee's role is to make recommendations to the Board to fill vacancies for executive and non-executive directors. In turn, the Board as a whole approves the appointment and removal of directors. In making recommendations, the committee looks at the mix of skills, expertise and how the new appointment will add value to the present compliment.

- Executive Committee

This committee is made up of three non-executive directors and is chaired by A S M Ndegwa. The Managing Director and the Head of Finance are in attendance by invitation. The Committee meets to review and recommend for Board approval periodic Strategic plans and key policy guidelines as developed by Management from time to time. The committee is cognizant of the various risks facing the Bank and therefore ensures that there is an adequate risk management framework for measuring, monitoring, controlling and mitigating such risks.

- Human Resources and Compensation Committee

This committee comprises three non-executive directors and is chaired by I Ochola-Wilson. The Managing Director, the Executive Director, the Head of Finance and the Head of Human Resources are in attendance by invitation.

The committee's main responsibility is to ensure that the Bank's Human Resource and Compensation policies are in line with the market best practice. It may seek external professional advice if deemed necessary in order to carry out its responsibilities.

Management Committees

The Managing Director has established several committees to assist him in the management of the Bank. These committees are chaired by the Managing Director and include the respective Heads of Department, with other senior managers being co-opted from time to time. These committees include: -

- The Executive Management Committee (EXCOM): This committee meets fortnightly to discuss strategy formulation and implementation, policy matters and financial performance. It is also charged with the responsibility of ensuring compliance with the regulatory framework and guidelines and adherence to company policy and procedures.
- The Management Committee (MANCOM): This committee meets monthly to review operational issues of the Bank, with emphasis on the assessment and monitoring of the institution's operational risk.
- The Assets and Liabilities Management Committee (ALCO): This committee meets every month with the primary responsibility of monitoring and managing the assets and liabilities of the Bank. This includes management of liquidity risk, mismatch risk, interest rate and exchange rate risks, and ensuring compliance with statutory requirements governing liquidity, cash ratio and foreign exchange exposure.
- The Information Technology Steering Committee: This committee meets regularly to review and monitor the system's integrity, enhancements and progress of any ongoing IT projects.
- The Risk Management Committee: This committee meets regularly to approve new credit applications and renewals within the delegated limits set by the Board. This committee reviews the performance of the advances and determines the level of provisions in accordance with the approved policies and regulatory guidelines. The committee also regularly makes recommendations to the Board Credit and Risk Committee on the revision of limits.

Relationship with Shareholders

The Company publishes audited annual accounts which are sent out to all the shareholders.

All shareholders are entitled to attend the Annual General Meeting and receive a Notice of Meeting, which is posted at least 21 clear days before the Annual General Meeting.

Shareholders also have direct access to the Company Secretary or the Company's registrars, Custody & Registrar Services Limited, and the Bank regularly responds to numerous letters from the shareholders on a wide range of issues.

The Bank's results are published in the daily newspapers every quarter in line with the Central Bank of Kenya requirements. Latest results are available on our website, www.nic-bank.com.

All shareholders have the opportunity to ask questions on any matter relating to the Bank at the Annual General Meeting and to meet directors informally after the meeting.

Internal Control

The directors acknowledge their responsibility as set out on page 24 for the Bank's system of internal financial control, including taking reasonable steps to ensure that the systems are being maintained. Internal control systems are designed to meet the particular needs of the Bank, and the risks to which it is exposed with procedures intended to provide effective internal financial control. However, such a system can only provide reasonable, but not absolute assurance against material misstatement.

Risk Management

The Board of Directors has put in place a risk management framework for measuring, monitoring, controlling and mitigation of the Bank's risks. This framework is integrated in the overall management information systems of the Bank and appropriately supplemented by a management reporting structure. The policies, as detailed on page 63-64 are in line with regulatory guidelines issued by theCentral Bank of Kenya as part of enforcement of the banking industry compliance with Basle II Accord.

Directors' Shareholding

No director holds shares in his individual capacity that is more than 1% of the Company's total equity.

Remuneration Policy

The Management remuneration committee endeavors to review and approve competitive remuneration packages which are designed to attract, retain and motivate staff of the highest caliber.

Salary packages are reviewed annually to ensure that they stay in line with the market rates as well as the Bank's business objectives.

Non –executive directors are paid a monthly fee, together with a sitting allowance for every meeting attended. They are not eligible for pension scheme membership and do not participate in any of the Bank's staff remuneration schemes.

2006 BOARD & BOARD COMMITTEE MEMBERSHIP AND ATTENDANCE

				Board Committees and Membership					
Director	Classification	Designation		Board	Audit & Compliance	Credit & Risk	Nominations	Human Resources & Compensation	Executive
J P M Ndegwa	Non-executive	Chairman Board	Membership	√			√		
			Attendance	4/5			1/1		
F M Mbiru	Non-executive	Chairman Credit & Risk Committee	Membership	√	√	√		√	
			Attendance	5/5	4/4	11/11		1/1	
J W Macharia	Executive	Managing Director	Membership	√	√	√	√	√	√
			Attendance	5/5	4/4	10/11	1/1	1/1	3/3
G A Maina	Non - Executive	Chairman Nominations Committee	Membership	√			√		√
			Attendance	5/5			1/1		3/3
F N Mwanzia	Non - Executive	Chairman Audit & Compliance Committee	Membership	√	√	√			
			Attendance	5/5	4/4	9/11			
A S M Ndegwa	Non - Executive	Chairman Executive Committee	Membership	√	√	√		√	√
			Attendance	5/5	4/4	11/11		1/1	3/3
I Ochola-Wilson	Non - Executive	Chairman Human Resources and Compensation Committee	Membership	√				√	
			Attendance	4/5				1/1	
M L Somen	Non - Executive		Membership	√		√	√		√
			Attendance	5/5		9/11	1/1		3/3
A Dodd	Executive		Membership	√	√	√		√	
			Attendance	5/5	4/4	11/11		1/1	

√ Member of respective committee

- Where a director missed to attend Board or Board Committee meeting, an apology had been received by the Chairman well in advance of the scheduled meeting.

A. Principal Shareholders

The top 10 major shareholders, based on the Bank's share register as at 28 February 2007 is follows: -

Name	No. of Shares	%
First Chartered Securities Limited	13,068,491	15.85
ICEA Investment Services Limited	7,469,278	9.06
Livingstone Registrars Limited	6,445,053	7.82
Rivel Kenya Limited	6,129,239	7.43
Duncan Nderitu Ndegwa	3,654,132	4.43
Saimar Limited	3,404,630	4.13
Amwa Holdings Limited	1,568,021	1.90
Thuthuma Limited	1,044,443	1.26
Makimwa Consultants Limited	1,000,000	1.21
Kenya Commercial Bank Nominees Limited - A/c 769G	866,263	1.05
Total	44,649,550	54.14

B. Distribution Schedule

Category	No. of Shareholders	No. of Shares	%
1-500 shares	11,456	3,456,185	4.19
501-5,000 shares	5,921	8,477,735	10.29
5,001-10,000 shares	358	2,618,604	3.18
10,001-100,000 shares	419	11,458,108	13.90
100,001-1,000,000 shares	48	13,620,632	16.53
1,000,001 and over	8	42,783,287	51.91
Total	18,210	82,414,551	100.00

C. Shareholders Profile

Category	No. of Shareholders	No. of Shares	%
Kenyan individual investors	17,202	24,422,035	29.63
Kenyan institutional investors	932	56,899,742	69.04
East African individual investors	5	70,398	0.09
East African institutional investors	1	2,500	0.00
Foreign individual investors	64	409,171	0.50
Foreign institutional investors	6	610,705	0.74
Total	18,210	82,414,551	100.00

Usimamizi na Mwongozo wa Shirika

Halmashauri ya Wakurugezi inauhimili utaratibu wa maongozi yanayofaa na imeufuata Mwongozo uliopendekezwa na Kituo cha Usimamizi wa Mashirika Nchini, Mamlaka ya Masoko Makuu Nchini kwa mashirika yaliyosajiliwa kwenye Soko la Hisa la Nairobi na Benki Kuu Kenya kwa sekta ya Benki.

Usimamizi na Mwongozo wa Shirika ni filosofia, maadili, utaratibu, na jinsi zinavyohakikisha kwamba biashara yaendeshwa kwa njia wazi, sahihi na adilifu inayoyalinda masilaha ya siku za usoni za washiriki wote wa Benki hatimaye.

Kama desturi ya miaka iliyopita, Benki ya NIC imejitahidi kuhifadhi usimamizi na mwongozo wa shirika kwa kutilia mkazo mwaka jana mara nyingi kwa kuhifadhi ukubali na sehemu zinazohusu usimamizi na mwongozo mwema ili kuhakikisha kwamba utekelezaji unaingiana na matakwa ya biashara.

Halmashauri ya Wakurugenzi

Halmashauri inawahusisha Mwenyekiti, J P M Ndegwa, wakurugenzi wasaba wa kawaida na Wakurugenzi wawili Watendaji. Habari za kuhusu maisha ya wakurugenzi zinapatikana kwenye ukurasa wa 3-5 katika Taarifa hii ya Mwaka. Wakurugenzi wote wa kawaida wako huru na usimamizi wa Benki na wanavyo viwango Fulani mbali mbali vya utaalamu wa kazi za Benki hii.

Majukumu ya Mwenyekiti na yale ya Mkurugenzi Mkuu ya tofauti. Mwenyekiti hutoa Mwongozo kwa Halmashauri huku akizingatia jukumu na uamuzi wa Halmashauri. Mkurugenzi Mkuu anawajibika kwa Halmashauri na anahusika katika usimamizi bora wa Benki wa kila siku.

Wakurungenzi wote wanapaswa kujiuzulu kwa zamu mara moja katika kipindi cha miaka mitatu kulingana na Sheria za Ushirikishwaji Kampuni. Mkurugenzi yeyote anayechaguliwa mwakani hutakiwa kujiuzulu na hatimaye kujitolea uchaguzini tena wakati wa Mkutano Mkuu wa kila Mwaka ufuatao.

Maelezo yanayozihusu ada za Wakurugenzi wa kawaida na marupurupu ya Wakurugenzi Watendaji yamepeanwa kwenye ukurasa wa 41 Malipo ya wakurugenzi wa kawaida yamegawanya kati ya pesa za kuwaweka na ada wanayopokea wanapoihudhuria mikutano ya Halmashauri na Kamati zake.

Matendo yote ya kibiashara na Wakurugenzi au wahusika wa karibu yanatekelezwa sio kwa urafiki na shughuli hizo zimefafanuliwa kwenye ukurasa wa 58-59.

Majukumu

Ni jukumu la Halmashauri kuutoa mwelekeo kwa Benki. Halmashauri hukutana mara nne kwa mwaka kila baada ya miezi mitatu kuyajadili masuala muhimu kama vile ukubali wa masharti yaliyowekwa, kuyachunguza matokeo ya kila mwezi ya kifedha, kuupitisha uchapishaji wa taarifa ya matumizi ya fedha ya miezi mitatu na pia kuyajadili mambo mengine muhimu ambayo yanawenza kuidhuru Benki, faida na malengo yake ya siku za usoni na sifa ya Benki.

Ili kuiwezesha Halmashauri kuutimiza wajibu wake kwa njia muafaka na kuwaruhusu Wakurugenzi kuyatimiza majukumu yao, habari muhimu za kufaa zatolewa kwa wakati wote. Kwa mfano, wakati wa mikutano ya Halmashauri , habari hizo zinahusu maandishi maalum ambayo yanakuwa pamoja na taarifa kamili ya ufanisi wa Benki na maandishi mengine kuhusu mambo tofauti ya kufaa. Isitoshe, Wakurugenzi wote wa huru kuutafuta ushauri na huduma za Katibu wa Benki ambaye analo jukumu la kuhakikisha kwamba utaratibu wa Halmashauri wafuatwa vilivyo.

Kuhitilafiana kwa matakwa

Wakurugenzi wa Benki wanao mujibu wa amana wa kuitumikia Benki. Benki imeubuni mwongozo wa kuwawezesha wakurugenzi kuepuka hali ambayo yaweza kuyafanya matakwa yao binafsi kuhitilafiana na yale ya Benki. Kila mwaka Wakurugenzi huyatangaza matakwa yao ambayo ni pamoja na :

- Ungama kuwa ikiwa itakuja kwa usikizi wake kwamba jambo lo lote linalohusu Banki laweza kusababisha kupingana kwa matakwa ya Benki, Mkurugenzi analazimishwa kulitangaza jambo hilo na kujiondoa kwa maongozi au maamuzi ya swala hilo linalohusika.
- Ungama kwamba akichaguliwa kwa Halmashauri au ajipatie kiasi cha maana katika biashara inayoshindana na ile ya Benki, mkurugenzi atashurutishwa kujiuzulu Halmashauri ya Benki.
- Ungama kwamba yanayotangulia yatatumika pia kwa jamii ya karibu ya Mkurugenzi.

Halmashauri na Ukadiriaji wa Wakurugenzi

Kamati ya Uteuzi ya Halmashauri imeutelekeza ukadiriaji wa Halmashauri ili kupima ufaaji wake na mchangio unaohitajika wa ustadi na maarifa. Kamati imethibitisha kwamba Halmashauri imeyatekeleza wajibu na majukumu yake kwa njia ifaayo na ya kuridhisha na imeutimiza wajibu wake kwa washika dau mbalimbali wa Benki. Halmashauri yaonyesha ufundi wa kazi wa namna mbalimbali na ujuzi wa ndani na wamejipa sharti na kujitolea kuulinda ustawi wa Benki.

Ukadiriaji binafsi wa Wakurugenzi ulitekelezwa na kila mmoja alifaulu vizuri sana katika yale yote alikadiriwa dhidi yake ambayo yalikuwa ni pamoja na kujitayarisha kikamilifu kwa mikutano na kujihusisha mikutanoni, uelewaji wa biashara kuu ya Benki, uwezo wa kujitawala kimawazo, ufahamu na ukubali wa sharti iliyowekwa, mazungumzo na Wakurugenzi Wenzi na kuhudhuria kwa kawaida mikutano ya Halmashauri na Kamati zake.

Kamati za Halmashauri

Halmashauri imeliweka jukwaa la kibali linalotenga wazi mambo fulani kwa maamuzi yake, ambayo ni pamoja na : Kuiidhinisha mipango, kuwaajiri maafisa wa vyeo vikuu, kuiidhinisha ripoti za hesabu ili zichapishwe, kuhidhihisha taarifa ya gharama ya Benki na mwongozo wa kifedha, kuyachunguza matokeo, mambo yanayohusu mashaka na matumizi yoyote makuu ya pesa.

Halmashauri ya Benki imeziunda kamati kadha wa kadha kuisaidia kuyatekeleza wajibu na majukumu yake pia imeziwekea viwango maalum kamati hizi binafsi. Hata hivyo, Halmashauri inafahamu ya kwamba kuundwa kwa Kamati hizi hakutazuilia utekelezaji wa usimamizi bora wa Benki hatimaye.

Kamati zaendeshwa na Wakurugenzi Kawaida ambao kwa kawaida huripoti kwa Halmashauri kuhusu majukumu wanayoyatekeleza. Maafisa Wakuu wa Usimamizi na watoa huduma wa nje na wataalamu huhudhuria mikutano kulingana na vile mambo yalivyo.

Halmashauri imeziunda kamati zifuatazo : Ukaguzi na Ukubali, Ushughulishaji wa Masuala ya Wafanyakazi na Uajiri, Uteuzi, Utendaji na Utoaji Mikopo na Mashaka. Kamati zingine muhimu hubuniwa kukiwa haja. Maelezo zaidi kuzihusu kamati hizi yanasimuliwa kwenye ukurasa wa 13. Habari za kamati hizi zimeelezwa hapa chini :

Kamati ya Ukaguzi Hesabu na Ukubali

Chini ya Uenyekiti wa Mkurugenzi wa Kawaida F N Mwanzia, kamati inao wakurugenzi wengine wawili wa kawaida. Mkurugenzi Mkuu na Mkuu wa Idara ya Ukaguzi na Ukubali (wa ndani) huihudhuria mikutano kwa mwaliko. Wasimamizi wa idara zingine hualikwa na kuhudhuria kila inapohitajika. Wakaguzi Hesabu wa Benki wa nje huenda wakakaribishwa kuhudhuria mara kwa mara lakini, wanahitajika kuhudhuria mara moja kwa mwaka wakati Taarifa za Kifedha Zilizokaguliwa zinapowashilishwa na kuangaliwa.

Kamati hukutana kila robo ya mwaka kuichunguza njia ya kuripoti kifedha, ikihakikisha kwamba zuifu za kufaa za ndani, kifedha na utendaji zimemulikwa na kusimamiwa na Usimamizi. Kamati pia huchunguza Taarifa ya Ukaguzi wa ndani na kuhakikisha ya kwamba kitendo kifaacho kimechukuliwa, na mapendekezo kutekelezwa.

Kamati ya Karadha na Mashaka

Huku ikisimamiwa na F M Mbiru, Kamati hii inawahusisha wakurugenzi wanne wa kawaida, na hukutana iwayo yote mara moja kwa mwezi kuyatafakari na kuyaidhinisha maombi mapya ya mikopo na kuiidhinisha mikopo iliyoko katika viwango vilivyowekwa na Halmashauri. Pia kwa kawaida huuchunguza mwongozo wa ukopeshaji wa Benki. Kamati huhakikisha kunao utaratibu imara wa kuyagundua na kuyasimamia madeni yenye mashaka, kuupunguza upotevu wa madeni na kuongeza ukusanyaji wa madeni hayo.

Mkurugenzi Mkuu, Mkurugenzi Mtendaji, Mkuu wa Idara ya Ukoposhaji na yule wa Fedha huhudhuria kwa mwaliko. Wasimamizi wengine wakuu hualikwa kukiwa haja.

Kamati ya Uteuzi

Kamati hii hukutana kukiwa haja na inao wakurugenzi wa kawaida watatu, Mwenyekiti akiwa ni G A Maina.

Wajibu wake ni kuyatoa mapendekezo kwa Halmashauri kuuhusu uteuzi wa Wakurugenzi watendaji na wa kawaida. Kwa upande wake, Halmashauri yote huidhinisha uteuzi na uondoaji wa Wakurugenzi. Katika kuyafanya mapendekezo,Kamati hii huyachunguza masuala ya utaalamu, ujuzi na taaluma ambazo wenye kupendekezwa kuteuliwa watailetea Benki.

Kamati Tendaji

Chini ya Uenyekiti wa A S M Ndegwa, Kamati hii inawahusisha wakurugenzi watatu wa kawaida. Mkurugenzi Mkuu na Mkuu wa Idara ya Fedha huhudhuria kwa mwaliko. Kamati hii hukutana kuichunguza na kupeindekeza idhini kwa Halmashauri ya mipango maalum na miongozo ya maana inayoundwa na Usimamizi mara kwa mara. Kamati inafahamu ya kwamba tunazo hatari nyingi zinazoikabili Benki na kwa hivyo huhakikisha ya kwamba kunao utaratibu wa kutosha kuzipimia, kuzisimamia, kuzuia na kuzinyamazisha hatari hizo.

Kamati ya Watumishi na Fidia

Kamati hii inao Wakurugenzi watatu wa kawaida chini wa uenyekiti wa I Ochola-Wilson. Mkurugenzi Mkuu, Mkurugenzi Mtendaji, Mkuu wa Idara ya Fedha na Mkuu wa Idara ya Watumishi huhudhuria kwa mwaliko.

Jukumu hasa la Kamati hii ni kuhakikisha kwamba watumishi wa Benki na miongozo ya Fidia zalingana na mienendo bora sokoni. kamati hii yaweza kuutafuta ushauri wa nje iwapo unahitajika ili kuyatimiza majukumu yake.

Kamati za Usimamizi

Mkurugenzi Mkuu ameziunda kamati kadha wa kadha kumsaidia kuisimamia Benki. Kamati hizi zasimamiwa na Mkurugenzi Mkuu na zinawahusisha wasimamizi wa idara, huku maofisa wengine wakuu wakikaribishwa mkutanoni kwa uchguzi wa mkutano mara kwa mara. Kamati hizi ni pamoja na:

Kamati Tendaji ya Usimamizi(EXCOM)

Kamati hii hukutana kila baada ya majuma mawili kujadili na kueleza kwa taratibu matengeneo ya biashara na utekelezaji, mambo yanayohusu mwongozo wa utendaji wa kifedha. Pia kamati hii inao wajibu wa kuhakikisha ukubali wa masharti yaliyowekwa na uaminifu kwa mwongozo na utaratibu za Benki.

Kamati ya Usimamizi (MANCOM)

Kamati hii hukutana kwa mwezi kuchunguza jinsi shughuli za kawaida za Benki zaendeshwa, mkazo ukitiliwa kwa usimamizi wa hatari zinazotokana na shughuli za kawaida za Benki.

Kamati ya Usimamizi wa Mali na Madeni (ALCO)

Hii kamati hukutana kila mwezi kwa minajili hasa ya kusimamia mali na madeni ya Benki. Jukumu hili ni pamoja na hatari aina nyingi kama vile upotevu wa pesa, riba, sera kuhusu pesa za kigeni, na kuhakikisha ukubali kwa sheria zilizowekewa zinazohusu ukaaji nje wa pesa, kadiri ya pesa na biashara ya pesa za kigeni.

Kamati ya kuiongoza teknolojia

Kamati hii hukutana kwa kawaida kuyachunguza maswala yanayohusu teknolojia, uzidishaji na jinsi miradi yo yote ya teknolojia inavyoendelea.

Kamati ya Usimamizi ya Ukopeshaji

Kamati hii hukutana kwa kawaida kuyaidhinisha maombi mapya ya mikopo na uidhinishaji upya katika masharti yalioagizwa na Halmashauri. Kamati hii huchunguza kwa undani jinsi mikopo inavyolipwa na hudhihirisha kiwango cha utolipaji kuambatana na miongozo iliyoidhinishwa na masharti yaliowekwa.
Kamati kwa kawaida hufanya mapendekezo kwa kamati za Ukopeshaji na Mashaka jinsi ya kuisahihisha mipaka.

Uhusiano wa wanachama

Benki huzichapisha Taarifa zilizokaguliwa za Hesabu kwa kila mwaka na kuzituma kwa wanachama wote.

Wenyehisa wote wanayo haki ya kuuhudhuria Mkutano Mkuu wa kila Mwaka kwa mwaliko wa siku ishririni na moja(21) kabla ya siku ya mkutano huo. Wanahisa pia wanaweza kumkaribia moja kwa moja Katibu wa Benki au Msajili wa Benki,Custody and Registrar Services, na Benki kwa kawaida huyajibu mawasiliano ya wanachama kuhusu masuala mbali mbali kila wakati.
Matokeo ya kifedha ya Benki inachapishwa magazetini kila robo ya mwaka kuambatana na matakwa ya Benki Kuu ya Kenya. Matokeo ya kisasa yaweza kupatikana kwa mtandao wetu :www.nic-bank.com.

Wanahisa wote wanayo fursa kuyauliza maswali yo yote yanayohusiana na Benki kwenye Mkutano Mkuu wa Kila Mwaka, na hukutana na Wakugenzi bila sherehe baada ya mkutano.

Usimamizi wa Ndani wa Benki

Wakurugenzi wanaukiri wajibu wao kama ulivyoelezewa katika ukurasa wa 24 kwa utaratibu wa Benki wa uzuifu wa ndani wa kifdha,pamoja na kuchukuliwa kwa hatua maana kuhakikisha kwamba taratibu zinahifadhiwa.Taratibu za uzuifu wa ndani zimeundwa kukabiliana na matakwa pekee ya Benki, na madhara ambayo yanaletwa na utaratibu unaonuia kuipa Benki uzuifu imra wa ndani wa kifedha. Hata hivyo, utaratibu kama huo hauwezi kamwe kuhakikisha kutokuwepo madhara yo yote ya maana.

Usimamizi Wa Mashaka

Halmashauri ya Benki imeliunda jukwaa la kusimamia mashaka wa kuzipima,kuzisimami a,kuzizuia na kuzipunguza hatari zinazoikabili Benki.Jukwaa hili limeunganishwa na usimamizi jumla wa teknolojia ya Benki na ikiongezewa usimamizi ufaao wa kuripoti.Miongozo hizi, vile inavyo simuliwa ukurasa wa 63-64 inalingana na miongozo iliyowekwa na Benki Kuu y Kenya kama njia moja ya kuhakikisha kwamba Mashati ya Sekta ya Benki(Base II) yanatimizwa.

Umilikiaji Hisa na Wakurugenzi

Hakuna Mkurugenzi ye yote ambaye kibinafsi anazimiliki hisa zaidi ya asilimia moja(1%) ya hisa zote za Benki.

Mwongozo wa Mishahara

Kamati ya Usimamizi ya Mishahara hujitaidi kuichunguza na kuiidhinisha mishahara yenye kushindaniwa ambayo imebuniwa kuwavutia, kuwaweka, na kuwapa motisha watumishi ya kiwango cha juu zaidi.
Mishahara huchunguzwa upya kila mwaka kuhakikisha inalingana na ile iliyoko sokoni na malengo ya kibiashara ya Benki.

Wakurugenzi wa kawaida hulipwa ada kila mwezi pamoja na marupurupu kila wanapouhudhuria mkutano wa Halmashauri na Kamati zake.Wakurugenzi hao hawastahilifu ujira na pia hawapati marupurupu ya faida jinsi ilivyo kwa watumishi.

The Bank recognizes the need for corporate social and environmental responsibility and has a documented policy approved by the Board in support of this.

The Bank is committed to partnering with groups with similar objectives towards social development and empowerment of the broader community through various corporate social initiatives.

Some of the areas that benefited from our contribution and participation are highlighted on page 19.

Employee Welfare

• Ethical Standards

The Bank conducts business in compliance with high ethical standards of business practice. The Bank has a Code of Conduct which outlines the principles and policies that govern the activities of the Bank, and to which the employees and others who work with, or represent them directly or indirectly, must adhere. All employees and directors are required to sign and give a commitment to follow the NIC Bank Code of Conduct.

• Communication

The Bank encourages dialogue and participation from all employees through internal e-mail, team-building initiatives and staff magazine. Further, the Bank holds a bi-annual staff conference where all staff members meet for a day to discuss the Bank's progress and strategic direction.

• HIV/AIDS

The Bank is dedicated to promoting and protecting the fundamental human rights of all persons including those living with HIV/AIDS. This tenet is amplified through the Bank's HIV/AIDS programme whose initiatives are aimed at educating staff on all aspects of the HIV/AIDS pandemic with the objective of minimizing the impact of HIV/AIDS pandemic on the organization.

Our concern goes beyond the staff members to their families and community at large and indeed NIC Bank has participated in several HIV/AIDS related societal initiatives.

• Staff Training & Development

The Bank attaches great importance to staff training and development as a means of ensuring that employees have requisite competencies to perform their duties. On-the-job-training is the foundation upon which all other types of training must depend. We acknowledge the role our experienced staff play in training their colleagues.

Tailor-made courses and workshops are arranged and offered to employees to meet specific training requirements. To give staff an international exposure, the Bank has identified overseas strategic partners with whom NIC Bank staff are able to train at concessionary rates. With the current skills-base, the Bank is able to effectively compete both locally and internationally.

Majukumu ya Kijamii na Kimazingira

Benki yaitambua haja kuwepo na jukumu la kijamii na kimazingira , na inao mwongozo ulioidhinishwa na Halmashauri kuihimili haja hii. Benki imejitolea kushirikiana na mashirika mengine yenye malengo na nia sawa ya kuiendeleza jamii kwa jumla na kuyashughulikia mazingira kupitia matendo mbali mbali ya ushirika wa kijamii.

Baadhi ya sehemu ambazo zimenufaika kwa mchango na ushiriki wetu zimefafanuliwa ukurasa wa 19.

Masilahi ya Wafanyikazi

Kanuni za Maadili

Benki inaiendesha biashara kwa ukubali wa maadili ya juu ya bendera ya desturi za biashara.Benki inayo Orodha ya Mwenendo unaoelezea kwa ufupi kanuni na miongozo inayozitawala shughuli za Benki, ambao watumishi na wote wale wanaohusiana na Benki kwa vyo vyote vile sharti wauitii. Watumishi wote na Wakurugenzi wanahitajika kuutia mkono na kupeana ahadi kuufuata Orodha ya Mwenendo ya Benki.

Watumishi

Benki yashawishi mazungumzo na ushirika kutoka kwa watumishi wote kuyapitia mawasiliano ya barua pepe,miradi ya umoja,na jarida la watumishi la ndani. Kwa mbali zaidi, huandaa kongamano la watumishi mara mbili kwa mwaka ambapo watumishi hukutana kwa siku nzima kuyazungumzia maendeleo ya Benki na mwelekeo wake wa kibiashara.

HIV/ Ukimwi

Benki imetabaruku kuziendeleza na kuzilinda haki za kiasili za binadamuza kila mtu pamoja na zile za wale wanaoishi na HIV/Ukimwi. Madhehebu yanazidushwa kuipitia Azimio la HIV/Ukimwi lililoanzishwa na Benki ili kuwaelimisha watumishi kulihusu janga la Ukimwi kwa lengo la kuyapunguza madhara yake kwa Benki.

Suala la Virusi vya Ukimwi halishughulikiwi tu kwa watumishi pekee bali hata familia za watumishi na jamii nzima kwa jumla, na kweli Benki ya NIC imezishiriki azimio kadha wa kadha inayohusiana na HIV/Ukimwi kwa jamii nzima.

Usomaji na Usitawi wa Watumishi

Benki yaona ni jambo la maana sana watumishi kufunzwa na kusitawi kama njia moja ya kuhakikisha kwamba watumishi wanao ustadi unaohitajika kuutekeleza wajibu wao.Kupokea mafunzo kazini ni msingi ambao mafunzo mengine yote yanategemea. Twaungama mchango wa watumishi wastadi wa kuwafunza wenzao kazini.

Mafunzo pamoja na semina mbali mbali huandaliwa ili kuhakikisha kwamba watumishi wanakifikia kiwango kinachohitajika.Ili kuwapa watumishi fursa ya kutambulikana kimataifa, wao huelekezwa kwa washirika wa ng'ambo wa Benki na kuyapokea mafunzo kwa malipo ya kadiri. Kutokana na ujuzi ulioko, Benki yaweza kukabiliana na washindani nchini na hata kimataifa.

(L-R) - J P M Ndegwa, Chairman, NIC Bank Limited, Ann Birnie, Vice Chairlady Friends of Nairobi Arboretum (FONA), A J Dodd, Executive Director and Head of Corporate Business, Mr. William Wambugu, Chairman (FONA)

Mr. J W Macharia, Managing Director, NIC Bank Limited presents a cheque to Ms. Karin Rapp, Program Director, Youth Sponsorship Programme.

Mr. J W Macharia, Managing Director, NIC Bank Limited signs a cheque presented to the Green Belt Movement. Mr. Wamahiu Wambugu, Project Officer and Mrs. Nancy Muthiani receive the cheque on behalf of the Green Belt Movement.

NOTICE OF THE ANNUAL GENERAL MEETING

Mwaliko Wa Mkutano Mkuu wa Mwaka

Notice is hereby given that the forty-seventh Annual General Meeting of the shareholders of NIC Bank Limited will be held at the Inter-Continental Hotel, Nairobi on Wednesday 16 May 2007, at 11.00 am for the following purposes: -

1. To receive, consider and if thought fit, adopt the Financial Statements for the year ended 31 December 2006 and the Directors' and Auditors` Reports thereon.
2. To confirm the payment of the interim dividend of 16% (Sh 0.80 per share) paid on 14 October 2006 and to approve the payment of a final dividend of 38% (Sh 1.90 per share) on the paid up capital of Sh 412,072,755.
3. To approve the payment of fees to the Directors for the year ended 31st December 2006.
4. To note that Deloitte & Touche will continue in office as the Auditors by virtue of section 159(2) of the Companies Act (Cap.486) subject to Central Bank of Kenya approval in accordance with section 24(1) of the Banking Act (Cap.488) and to authorize the Directors to fix their remuneration.
5. To elect Directors:
   In accordance with Articles 98,99 and 100 of the Company's Articles of Association, the following directors retire by rotation and being eligible, offer themselves for re-election: -
   (i) I Ochola-Wilson
   (ii) J P M Ndegwa
   (iii) G A Maina
6. Special Business:
   M L Somen, who has attained the age of 70 years, retires in accordance with Section 186(2) of the Companies Act (Cap 486). Special Notice has been received by the Company pursuant to Section 142 of the Companies Act, that the following resolution be proposed in accordance with Section 186(5) of the said Act, and, if thought fit, passed by the members:
   " That M L Somen, a Director who has attained the age of 70 years, be and is hereby re-elected as a director of the Company."
7. To transact any other business of the Annual General Meeting of which due notice has been received.

BY ORDER OF THE BOARD
L Murage
Secretary
P.O Box 44599-00100 GPO
Nairobi
10 April 2007

Note: A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf. Such proxy need not be a member of the Company. To be valid, a form of proxy which is provided with this report, must be deposited at the Registered Office of the Company not less than 24 hours before the appointed time of the Meeting

Inaarifiwa ya kwamba kikao cha arobaini na saba cha Mkutano Mkuu wa mwaka wa wenyehisa wa Benki ya NIC utaandaliwa katika Hoteli ya Inter-Continental, Nairobi tarehe 16 Mei, 2007, saa tano asubuhi kwa malengo yafuatayo: -

1. Kuzipokea, kutafakari na iwapo itafikiriwa sawa na ikifikiriwa sawa, zikubaliwe Taarifa za Fedha kwa mwaka uliomalizikia Desemba 31, 2006 na Taarifa za Wakurugenzi na Wakaguzi Hesabu zilizoko hapo.
2. Kuthibitisha mgawo wa muda wa asilimia 16 (shilingi 0.80 kwa hisa) uliolipwa tarehe 14 Oktoba,2006 na kuhidhinisha mgawo wa mwisho wa asilimia 38 (Shilingi 1.90 kwa hisa) kwenye rasilmali iliyolipiwa ya Shilingi 412,072,755.
3. Kuiyadhinisha marupurupu ya wakurugenzi kwa mwaka uliomalizika Desemba 31, 2006.
4. Kufahamu ya kwamba kampuni ya Deloitte & Touche itaendelea na wadhifa wa ukaguzi kwa kulingana na kifungu cha 159 (2) cha Kanuni za Makampuni (sehemu ya 486, sheria za Kenya) na kwa ruhusa ya kibali cha Benki Kuu ya Kenya kuambatana na fungu la 24 (1) la Kanuni za Mabenki (sehemu ya 488) na kuwaamuru wakurugenzi kuyapanga marupurupu yao.
5. Kuwachagua wakurugenzi:
   Kulingana na ibara za 98, 99 ma 100 za sheria za kushirikishwa kampuni (Articles of Association), wakurugenzi wafuatao wanastaafu kwa zamu na kwa kuwa bado wanastahili, wamejitolea kuchaguliwa tena: -
   (i) I Ochola-Wilson
   (ii) J P M Ndegwa
   (iii) G A Maina
6. Shughuli Maalum:
   M L Somen, ambaye ameuhitimu umri wa 70 (sabini), astaafu kufuatana na kifungu cha 186 (2) cha Sheria za Makampuni (sehemu ya 486). Tangazo maalum limepokewa na Benki kuambatana na kifungu cha 142 Sheria za Makampuni, kwamba mswada ufuatao upendekezwe kulingana na kifungu cha 186 (5) cha sheria iyo hiyo, na ikihisiwa ni sawa, upitishwe na wenyehisa: 'Kwamba M. L Somen, mkurugenzi ambaye ameuhitimu umri wa 70, awe na achaguliwa tena kama mkurugenzi wa Benki'.
7. Kuindesha shughuli yo yote ile ya Mkutano Mkuu, bora tu tangazo lifaalo limepokelewa.

KWA AMRI YA HALMASHAURI
L Murage
Katibu
S.L.P 44599-00100, GPO
Nairobi
10 Aprili, 2007

Fahamu: Mwenyehisa anayestahili kudhuria na kupiga kura anaweza kumteua mwakilishi wa kuhudhuria na kupiga kura kwa niaba yake. Si lazima badala huyo awe mwanachama wa Benki. Ili ikubaliwe fomu ya uwakilishi (iliyoko kwenye ripoti hii) lazima ipokelewa katika makao makuu ya Benki sio chini ya masaa ishrini na nne (24) kabla ya wakati wa Mkutano Mkuu.

BALANCE SHEET

	2002 Sh`000	2003 Sh`000	2004 Sh`000	2005 Sh`000	2006 Sh`000
Assets					
Government securities	2,387,374	1,972,145	1,751,907	2,472,787	2,675,169
Advances to customers (net)	4,712,576	6,896,158	11,541,195	14,259,286	16,570,116
Property and equipment	367,986	403,801	495,817	528,731	503,173
Others	1,861,346	1,764,152	2,854,574	3,439,064	6,313,955
Total Assets	9,329,282	11,036,256	16,643,493	20,699,868	26,062,413
Liabilities					
Customer Deposits	6,493,244	7,951,236	12,504,011	16,575,398	21,978,078
Line of credit	92,604	67,165	601,644	354,404	278,195
Other liabilities	245,059	441,695	893,871	977,550	769,898
Total Liabilities	6,830,907	8,460,096	13,999,526	17,907,352	23,026,171
Shareholders` Equity	2,498,375	2,576,160	2,643,967	2,792,516	3,036,242
Total Liabilities and Shareholders Equity	9,329,282	11,036,256	16,643,493	20,699,868	26,062,413

INCOME STATEMENT

	2002	2003	2004	2005	2006
Interest income	980,606	980,038	1,068,995	1,940,340	2,365,847
Interest expense	286,724	202,452	206,980	770,868	911,250
Net Interest Income	693,882	777,586	862,015	1,169,472	1,454,597
Total Non-interest Income	137,612	166,923	292,761	372,244	528,123
Total Operating income	831,494	944,509	1,154,776	1,541,716	1,982,720
Operating expenses	402,996	527,976	762,358	930,323	1,172,259
Bad & doubtful debts expenses	88,274	57,210	19,862	208,383	133,389
Total Operating Expenses	491,270	585,186	782,220	1,138,706	1,305,648
Profit before Tax	340,224	359,323	372,556	403,010	677,072
Taxation	111,089	116,709	111,200	127,362	219,068
Profit after Tax	229,135	242,614	261,356	275,648	458,004
Earnings Per Share (Sh)	2.78	2.94	3.17	3.50	5.56
Dividend Per Share (Sh)	2.00	2.25	2.40	2.50	2.70

OTHER DISCLOSURES

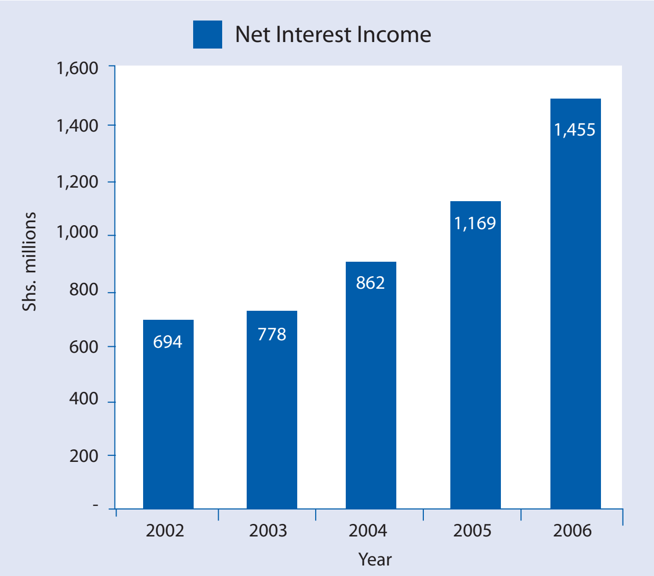
	2002	2003	2004	2005	2006
1) Non-performing advances to customers					
a) Non-performing advances to customers	946,578	759,316	589,583	705,865	1,270,942
b) Specific provision	600,369	625,805	375,947	529,947	646,706
c) Net Non-performing Advances to Customers (a-b)	346,209	133,511	213,636	175,918	624,236
2) Number of Employees	125	149	203	252	262

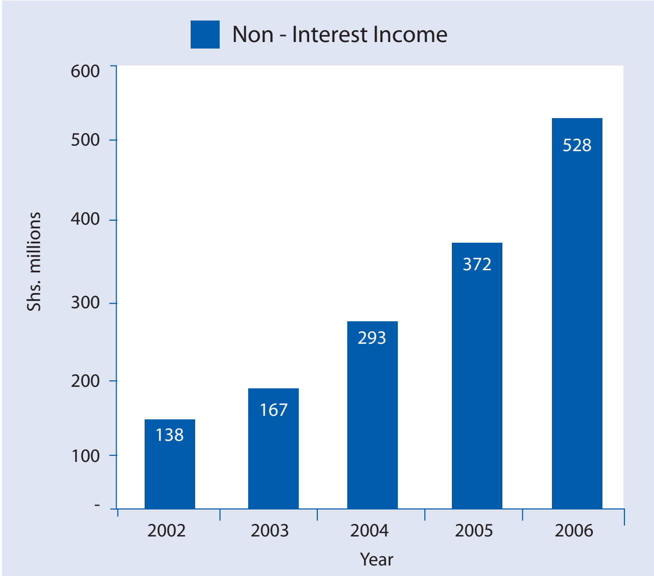
PERFORMANCE INDICATORS

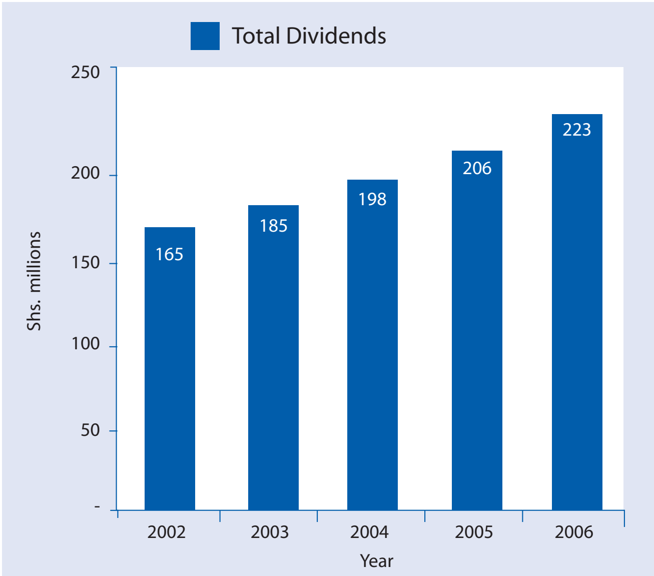
	2002	2003	2004	2005	2006
Return on Capital Employed (ROCE)	13.62%	13.95%	14.09%	14.43%	22.30%
Non-funded income to total operating income	16.55%	17.67%	25.35%	24.14%	26.64%
Non-performing advances to total advances to customers	7.35%	1.94%	1.85%	1.23%	3.77%
Return on total assets	3.65%	3.26%	2.24%	1.95%	2.60%

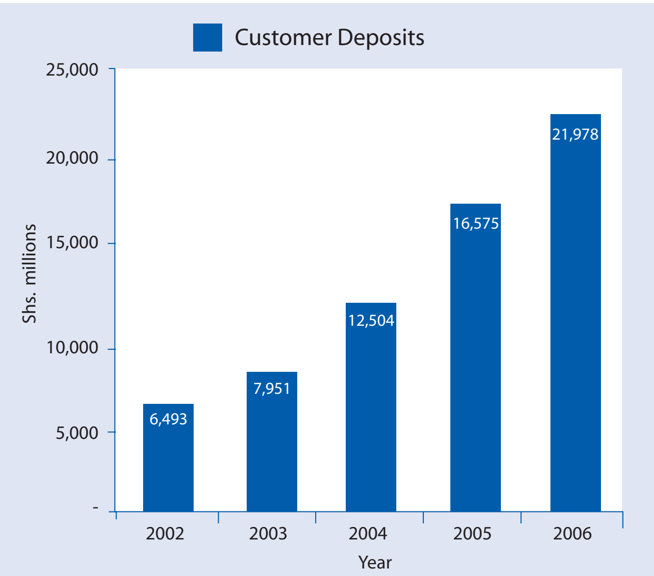
FIVE YEAR FINANCIAL REVIEW
Historia ya Dhima

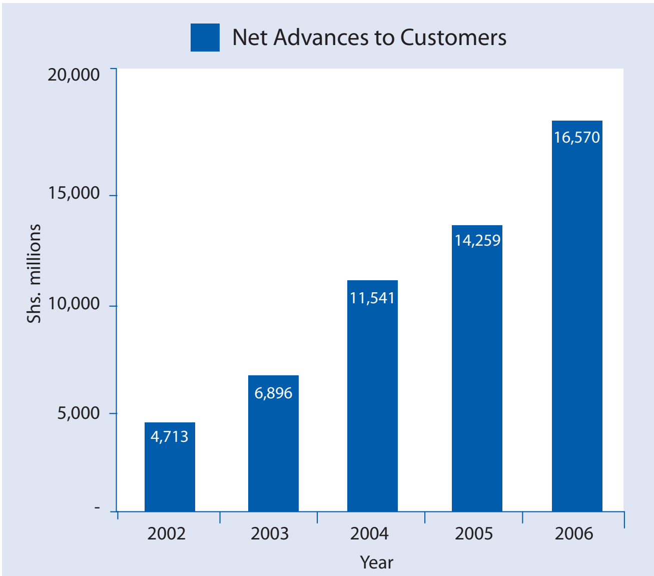
PERFORMANCE GRAPHS











The directors have pleasure in presenting their report and the audited financial statements for the year ended 31 December 2006.

ACTIVITIES

The principal activities of the bank, which is licensed under the Banking Act, are the provision of banking, financial and related services.

RESULTS

	Sh'000
Profit before taxation	677,072
Taxation expense	(219,068)
Profit after taxation	458,004

DIVIDENDS

An interim dividend of Sh 0.80 per share amounting to Sh 65,932,000 was paid to shareholders on 14 October 2006.

The directors recommend a final dividend of Sh 1.90 per share amounting to Sh 156,588,000 which, together with the interim dividend, represents Sh 2.70 per share on the issued share capital for the year ended 31 December 2006.

DIRECTORS

The present members of the Board of Directors are shown on page 2.

In accordance with articles 98, 99 and 100 of the Articles of Association, I Ochola- Wilson, J P M Ndegwa and G A Maina retire by rotation and, being eligible, offer themselves for re-election.

AUDITORS

Deloitte & Touche, having expressed their willingness, will continue in office in accordance with section 159 (2) of the Companies Act and subject to section 24(1) of the Banking Act.

BY ORDER OF THE BOARD
L Murage
Secretary
Nairobi
27 February 2007

Wakurugenzi wanayo furaha ya kuziwasilisha taarifa yao na hesabu zilizokaguliwa kwa mwaka uliomalizikia Desemba 31, 2006.

SHUGHULI

Shughuli muhimu za Benki, iliyoidhinishwa kuambata na kanuni za mabenki (sehemu 488, sheria za Kenya), ni utoaji huduma za kibenki, kifedha na huduma zinazohusiana.

MATOKEO

	Sh'000'
Faida kabla ushuru	677,072
Ushuru	(219,068)
Faida baada ushuru	458,004

MGAWO WA FAIDA

Mgawo wa muda wa Shilingi 0.80 (pen inane) kwa hisa ukiwa ni shilingi sitini na tano milioni mia tisa thelathini na mbili alfu (Sh.65,932,000) ulilipwa tarehe 14 Oktoba 2006.

Wakurugenzi wanapendekeza mgawo wa mwisho wa Shilingi moja na peni tisa (Sh.1.90) kwa hisa ukiwa ni shilingi mia moja hamsini na sita milioni, mia tano na themanini na tisa alfu (Sh. 156,589,000), ambao pamoja na wa muda, unawasilisha shilingi mbili na peni saba (Sh.2.70) kwa hisa kwenye rasilimali ya hisa zilisotolewa kwa mwaka ulioishia 31 Desemba 2006.

WAKURUGENZI

Wanachama wa sasa wa Halmashauri ya Wakurugenzi wameonyeshwa kwenye ukurasa wa pili (2).

Kuambatana na ibara za 98,99 na 100 za sheria za ushirikishwaji, I Ochola-Wilson, J P M Ndegwa na G A Maina wanastaafu kwa zamu na kwa kuwa bado wanastahili, wamejitolea kuchaguliwa tena.

WAKAGUZI HESABU

Kwa kuwa wamejitolea, Deloitte & Touche wataendelea na wadhifa wao wa ukaguzi kuambatana kifungu cha 159 (2) kanuni za Makampuni na kwa sharti la kifungu cha 24 (1) cha kanuni za Mabenki.

KWA AMRI YA HALMASHAURI
L Murage
Katibu
Nairobi
27 Februari 2007

STATEMENT OF DIRECTORS' RESPONSIBILITIES
Taarifa ya Mamlaka ya Wakurugenzi

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the bank as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the group and the bank keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group and the bank. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the bank and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the bank and its subsidiaries will not remain a going concern for at least the next twelve months from the date of this statement.

J P M Ndegwa - Chairman

J W Macharia - Managing Director

27 February 2007

Sheria ya Makampuni inawahitaji wakurugenzi kuzitayarisha taarifa za hesabu za kila mwaka, zinazoonyesha hali kamili ya mambo katika Kikundi pamaoja na zile za Benki kila mwisho wa mwaka.Sheria hii pia inawahitaji wakurugenzi wahakikishe kwamba Kikundi na Benki zinaweka rekodi muafaka na zina -zoonyesha hali ilivyo katika kikundi na Benki kilal wakati. Wanawajibkia pia kuyalinda mali ya kikundi.

Wakurugenzi wanalo jukumu la kuzitayarisha Taarifa za kifedha kuambatana na Viwango vyaKimataifa vya Uhasibu na pia maagizo ya Sheria ya Makampuni Kenya. Wajibu huu ni pamoja na: kuunda, kutekeleza na kuhifadhi uzuifu wa kigaguzi wa ndani unaohusiana na utayarishaji wa Taaarifa za kifedha zisizo na upotefu wo wote mkubwa, kama kwa hila ama kosa, kuuteua na kuutumia utaratibu wa uhasibu na kuyakata makisio muhimu kilingana na vile mambo yalivyo.

Wakurugenzi wanayakubali madaraka kwa kila taarifa za hesabu za kila mwaka, ambazo zimeandaliwa kulingana na maongozi na mbinu za uhasibu zilizowekwa na zinazoambatana na kanuni za kimataifa za hesabu na mahitaji ya Sheria ya Makampuni Kenya. Wakurugenzi wanayo maoni kwamba taarifa za kifedha ni za ukweli na zinalingana na vile mambo yalivyo katika kikundi na Benki na matokeo yao. Wakurugegenzi pia wanaupokea wajibu wa kuzihifadhi rekodi za kihasibu ambazo zaweza kutumiwa kuzitayarisha Taarifa za kifedha, na pia utaratibu wa uzuifu wa ndani wa kifedha unaotosheleza.

Hakuna jambo lo lote limo katika usikizi wa wakurugenzi la kuonyesha kwamba Benki na matawi yake hayatakuwa shirika linaloendelea biasharani kwa vyo vyote kwa miezi mikumi na miwilii ijayo kutokea tarehe ya taarifa hii.

J P M Ndegwa - Mwenyekiti

J W Macharia - Mkurugenzi Mkuu

27 Februari 2007

Deloitte.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF NIC BANK LIMITED

We have audited the financial statements of NIC Bank Limited on pages 27 to 65 which comprise the consolidated and bank balance sheets as at 31 December 2006, and the consolidated income statement, consolidated and bank statement of changes in equity and consolidated cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The group's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion:

(a) proper books of account have been kept by the bank and the bank's balance sheet is in agreement therewith;

(b) the financial statements give a true and fair view of the state of affairs of the bank and the group at 31 December 2006 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.

Deloitte & Touche
27 February 2007

Deloitte.

TAARIFA YA WAKAGUZI KWA NIC BANK LIMITED

Tumezikagua Taarifa za fedha za Benki ya NIC zinazoanzia ukurasa wa ishirini na saba (27) hadi ukurasa wa sitini na tano (65) zinazojumuisha taarifa za fedha za kikundi na Benki, na ripoti ya mapato ya kikundi, ripoti ya mabadiliko katika umiliki wa hisa wa Kikundi na Benki, mtiririko wa pesa katika Kikundi kwa mwaka ulioishia Desemba 31, 2006, pamoja na mkurtasari wa miongozo maalum ya kihesabu na vielekezo vingine vyote, na tumeyapata maelezo yote na ufafanuzi ambazo, kwa kadiri ya maarifa na kuamini kwetu, yalikuwa muhimu kwa minajil ya ukaguzi wetu.

Mamlaka Binafsi ya Wakurugenzi na Wakaguzi

Wakurugenzi wa kikundi wanawajibika kuzitayarisha taarifa za hesabu zinazoonyesha hali kamili ya mambo, kuambata na Viwango vya Kifedha vya Kimataifa na pia maaagizo ya Sheria ya Makampuni ya Kenya. Wajibu huu wajumuisha: kuupanga, kuutekeleza na kuuhifadhi uzuifu wa ndani unaohusiana na utayarishaji wa taarifa za kifedha zisizo na upotefu wowote mkubwa; kuuchagua na kuutumia utaratibu wa uhasibu na kuyakata makisio muhimu kulingana na hali mambo yalivyo. Wajibu wetu ni kuyatoa maoni yetu juu ya Taarifa za fedha kutokana na ukaguzi wetu.

Msingi wa Maoni

Tuliutekeleza ukaguzi wetu wa hesabu kuambatana na viwango vya kimataifa vya ukaguzi. Viwango hivyo vyahitaji tuyaitikie matakwa ya kiadili, na kupanga na kuutekeleza ukaguzi ili tupate thibitisho linalofaa kwamba taarifa zenyewe hazina na upotofu wo wote mkubwa.

Ukaguzi unahitaji utekelezaji wa utaratibu ili kupokea ushahidi wa kikaguzi kulingana na kiasi za pesa na ufichuo katika taarifa za fedha. Utaratibu uliochaguliwa unalingana na maamuzi yetu binafsi na ni pamoja na ukadiriaji wa mashaka ya upotofu mkubwa katika taarifa za kifedha kama kwa ulaghai ama kosa. Kwa kuyafanya hayo makadirio ya mashaka tuliyatia maanani utaratibu wa ndani wa kihasibu unaohusiana na utengenezaji wa taarifa za kifedha za Benki kwa haki, kwa kuutunga utaratibu wa kikaguzi unaofaa, bila ya kuyatoa maoni yo yote kuhusu umaaruhu wa utaratibu huo wa kindani. Ukaguzi pia ni pamoja na ukadiriaji wa miongozo ya uhasibu iliyotumika na makisio muhimu yaliyofanywa na wakurugenzi, na utathmini jumla wa uwasilishaji wa Taarifa za Fedha.

Tunaamini ya kwamba ukaguzi wetu unatoa msingi mzuri wa maoni yetu.

Maoni

Kwa mashauri yetu: -

(a) Vitabu sahihi vya uhasibu viliwekwa na kampuni na Taarifa za Fedha, zinakubaliana navyo.

(b) Taarifa za fedha zinayatoa madhari halisi ya shughuli za Benki na kikundi kufikia tarehe 31 Desemba, 2006 na Taarifa ya Faida na Hasara, na pesa taslimu kwa mwaka uliomalizikia tarehe hiyo, na zinalingana na Viwango vya Kimataifa vya Uhasibu naSheria ya Makampuni ya Kenya.

Deloitte & Touche
27 Februari 2007

Maandish yaliyopo hapo juu ni tafsiri ya kiswahili ya "Taarifa ya Wakaguzi kwa Wenyehisa wa NIC Bank Limited" inayoonekana kwenye ukurasa wa 25 wa taarifa hii. Iwapo patatokea ubishi wowote katika ufafanuzi wa Taarifa ya Wakaguzi, tafsiri ya Kiingereza ndiyo itakayo tambulika kama inayofaa.

The text set out above is a Kiswahili translation of the "Independent Auditor's Report to the members of NIC Bank Limited" which appears on page 25 of this report. In the event of any dispute over the interpretation of the Independent Auditor's Report, the English version shall be the authoritative version.

CONSOLIDATED INCOME STATEMENT
for the year ended 31 December 2006

		Note	2006 Sh'000	2005 (Restated) Sh'000
INTEREST INCOME		4	2,365,847	1,940,340
INTEREST EXPENSE		5	(911,250)	(770,868)
NET INTEREST INCOME			1,454,597	1,169,472
Fees and commission income		6	269,073	226,819
Foreign exchange trading income		7	145,063	44,075
Other operating income		8	113,987	101,350
OPERATING INCOME			1,982,720	1,541,716
Operating expenses		9	(1,172,259)	(930,323)
Impairment losses on loans and advances		19	(133,389)	(185,876)
PROFIT BEFORE TAXATION			677,072	425,517
TAXATION EXPENSE		11(a)	(219,068)	(137,183)
PROFIT FOR THE YEAR ATTRIBUTABLE TO SHAREHOLDERS		12	458,004	288,334
			Sh	Sh
EARNINGS PER SHARE	- Basic	13	5.56	3.50
	- Diluted	13	5.56	3.50
DIVIDENDS PER SHARE	- Declared	14	0.80	0.70
	- Proposed	14	1.90	1.80

CONSOLIDATED BALANCE SHEET
as at 31 December 2006

	Note	2006 Sh'000	2005 (Restated) Sh'000
ASSETS			
Cash and balances with Central Bank of Kenya	15	2,675,169	1,612,479
Government securities	16	2,148,688	2,472,787
Deposits and balances due from banking institutions	17	3,750,047	1,404,975
Advances to customers	18	16,570,116	14,259,286
Other assets	20	347,575	325,774
Tax recoverable	11	-	6,968
Intangible assets	22	59,520	80,618
Property and equipment	23	503,173	528,731
Operating lease prepayments	24	8,125	8,250
TOTAL ASSETS		26,062,413	20,699,868
LIABILITIES			
Customer deposits	25	21,978,078	16,575,398
Other liabilities	26	469,229	374,091
Line of credit	27	278,195	354,404
Deposits due to banking institutions	28	165,089	528,529
Taxation payable	11	76,195	-
Unclaimed dividends	14	26,427	30,990
Deferred tax liability	29	32,958	43,940
TOTAL LIABILITIES		23,026,171	17,907,352
EQUITY			
Share capital	30	412,073	412,073
Share premium	31	299,943	299,943
Revaluation surplus	32	104,768	107,761
Revenue reserves	33	2,069,308	1,840,691
Statutory reserve	34	150,150	132,048
SHAREHOLDERS' FUNDS		3,036,242	2,792,516
TOTAL EQUITY AND LIABILITIES		26,062,413	20,699,868

The financial statements on pages 27 to 65 were approved by the board of directors on 27 February 2007 and were signed on its behalf by:

Directors: J P M Ndegwa
J W Macharia
F N Mwanzia

Secretary L Murage

COMPANY BALANCE SHEET
as at 31 December 2006

	Note	2006 Sh'000	2005 (Restated) Sh'000
ASSETS			
Cash and balances with Central Bank of Kenya	15	2,675,169	1,612,479
Government securities	16	2,117,672	2,443,058
Deposits and balances due from banking institutions	17	3,750,047	1,404,975
Advances to customers	18	16,570,116	14,259,286
Other assets	20	343,370	320,418
Tax recoverable		-	6,968
Investment in subsidiary companies	21	80,501	80,501
Intangible assets	22	59,520	80,618
Property and equipment	23	503,173	528,731
Operating lease prepayments	24	8,125	8,250
TOTAL ASSETS		26,107,693	20,745,284
LIABILITIES			
Customer deposits	25	21,978,078	16,575,398
Other liabilities	26	469,229	374,091
Line of credit	27	278,195	354,404
Deposits due to banking institutions	28	165,089	528,529
Taxation payable		75,897	-
Unclaimed dividends	14	26,427	30,990
Due to subsidiary company	21	46,865	45,290
Deferred tax liability	29	32,958	43,940
TOTAL LIABILITIES		23,072,738	17,952,642
EQUITY			
Share capital	30	412,073	412,073
Share premium	31	299,943	299,943
Revaluation surplus	32	104,768	107,761
Revenue reserves	33	2,068,021	1,840,817
Statutory reserve	34	150,150	132,048
SHAREHOLDERS' FUNDS		3,034,955	2,792,642
TOTAL EQUITY AND LIABILITIES		26,107,693	20,745,284

The financial statements on pages 27 to 65 were approved by the board of directors on 27 February 2007 and were signed on its behalf by:

Directors: J P M Ndegwa
J W Macharia
F N Mwanzia

Secretary L Murage

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
for the year ended 31 December 2006

	Note	Share Capital Sh'000	Share Premium Sh'000	Revaluation Surplus Sh'000	Revenue Reserves Sh'000	Statutory Reserves Sh'000	Proposed Dividends Sh'000	Total Sh'000
ASSETS								
At 1 January 2005 – as previously stated		412,073	299,943	142,033	1,649,813	-	140,105	2,643,967
Prior year adjustment								
– transfer to statutory reserve	34	-	-	-	-	109,541	-	109,541
- deferred tax asset	29	-	-	-	(51,531)	-	-	(51,531)
As restated		412,073	299,943	142,033	1,598,282	109,541	140,105	2,701,977
Transfer of excess depreciation								
- prior year		-	-	(31,279)	31,279	-	-	-
- current year		-	-	(4,276)	4,276	-	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-	-
Profit for the year		-	-	-	288,334	-	-	288,334
Transfer to statutory reserve	34	-	-	-	(22,507)	22,507	-	-
Dividends:								
-final for 2004 paid	14	-	-	-	-	-	(140,105)	(140,105)
-interim for 2005 declared	14	-	-	-	(57,690)	-	-	(57,690)
At 31 December 2005		412,073	299,943	107,761	1,840,691	132,048	-	2,792,516
At 1 January 2006 - as previously stated		412,073	299,943	107,761	1,902,043	-	-	2,721,820
Prior year adjustment								
– transfer to statutory reserve	34	-	-	-	-	132,048	-	132,048
- deferred tax asset	29	-	-	-	(61,352)	-	-	(61,352)
As restated		412,073	299,943	107,761	1,840,691	132,048	-	2,792,516
Transfer of excess depreciation		-	-	(4,276)	4,276	-	-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)	-	-	-
Profit for the year					458,004	-	-	458,004
Transfer to statutory reserve	34	-	-	-	(18,102)	18,102	-	-
Dividends:								
-final for 2005 paid	14	-	-	-	(148,346)	-	-	(148,346)
-interim for 2006 declared	14	-	-	-	(65,932)	-	-	(65,932)
At 31 December 2006		412,073	299,943	104,768	2,069,308	150,150	-	3,036,242

The revaluation surplus is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

The prior year adjustment relates to the transfer of the excess of loan provision as computed in accordance with Central Bank of Kenya prudential guidelines over the impairment of loans and advances arrived at in accordance with IAS 39 to the statutory reserve. The statutory reserve is not distributable.

	Note	Share Capital Sh'000	Share Premium Sh'000	Revaluation Surplus Sh'000	Revenue Reserves Sh'000	Statutory Reserves Sh'000	Proposed Dividends Sh'000	Total Sh'000
ASSETS								
At 1 January 2005		412,073	299,943	142,033	1,649,688	-	140,105	2,643,842
Prior year adjustment								
– transfer to statutory reserve	29	-	-	-	-	109,541	-	109,541
- deferred tax asset	27	-	-	-	(51,531)	-	-	(51,531)
As restated		412,073	299,943	142,033	1,598,157	109,541	140,105	2,701,852
Transfer of excess depreciation								
- prior year		-	-	(31,279)	31,279		-	-
- current year		-	-	(4,276)	4,276		-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)		-	-
Profit for the year		-	-	-	288,585		-	288,585
Transfer to statutory reserve	29	-	-	-	(22,507)	22,507	-	-
Dividends:								
-final for 2004 declared	14	-	-	-	-		(140,105)	(140,105)
-interim for 2005 declared	14	-	-	-	(57,690)		-	(57,690)
At 31 December 2005		412,073	299,943	107,761	1,840,817	132,048	-	2,792,642
As previously stated		412,073	299,943	107,761	1,902,169	-	-	2,721,946
Prior year adjustment								
- transfer to statutory reserve	29	-	-	-	-	132,048	-	132,048
- deferred tax asset	27	-	-	-	(61,352)	-	-	(61,352)
As restated		412,073	299,943	107,761	1,840,817	132,048	-	2,792,642
Transfer of excess depreciation		-	-	(4,276)	4,276		-	-
Deferred tax on excess depreciation		-	-	1,283	(1,283)		-	-
Profit for the year		-	-	-	456,591		-	456,591
Transfer to statutory reserve	29	-	-	-	(18,102)	18,102	-	-
Dividends:								
-final for 2005 paid	14				(148,346)		-	(148,346)
-interim for 2006 declared	14	-	-	-	(65,932)		-	(65,932)
At 31 December 2006		412,073	299,943	104,768	2,068,021	150,150	-	3,034,955

The revaluation surplus is not distributable and represents the surplus arising from the revaluation of property, plant and equipment.

The prior year adjustment relates to the transfer of the excess of loan provision as computed in accordance with Central Bank of Kenya prudential guidelines over the impairment of loans and advances arrived at in accordance with IAS 39 to the statutory reserve. The statutory reserve is not distributable.

CONSOLIDATED CASH FLOW STATEMENT
for the year ended 31 December 2006

	Note	2006 Sh'000	2005 Sh'000
OPERATING ACTIVITIES			
Cash generated from operations	35(a)	3,465,108	875,179
Taxation paid	11(c)	(146,887)	(143,228)
Net cash generated from operating activities		3,318,221	731,951
INVESTING ACTIVITIES			
Purchase of intangible assets	22	(7,033)	(60,990)
Purchase of property and equipment	23	(62,348)	(120,995)
Proceeds on sale of equipment		404	21,777
Net cash used in investing activities		(68,977)	(160,208)
FINANCING ACTIVITIES			
Dividends paid	14	(218,841)	(193,104)
NET INCREASE IN CASH AND CASH EQUIVALENTS		3,030,403	378,639
CASH AND CASH EQUIVALENTS AT 1 JANUARY		2,990,876	2,612,237
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	35(b)	6,021,279	2,990,876

1 ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted, which remain unchanged except for the change in accounting policy on statutory reserves, are set out below:

Adoption of new and revised international financial reporting standards

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective:

- IFRS 7 on Financial Instruments Disclosures and
- IFRS 8 on Operating Segments
- IFRIC 8 - Scope of IFRS 2
- IFRIC 9 Reassessment of Embedded Derivatives
- IFRIC 10 Interim Financial Reporting and Impairment

The adoption of these standards and interpretations, when effective, will have no material impact on the financial statements of the group.

Basis of accounting

The group prepares its financial statements under the historical cost convention, modified to include the revaluation of certain properties and financial instruments.

Basis of consolidation

Subsidiary undertakings, being those companies in which the group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary company have been eliminated.

The consolidated financial statements incorporate the financial statements of the bank and its subsidiaries all of which are made up to 31 December each year. A listing of the bank's subsidiaries is set out in note 19.

Revenue recognition

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

Other income, including fees and commission income, are recognised at the time of effecting the transactions.

Investment in subsidiary companies

Investment in subsidiary companies in the bank's books are stated at cost less impairment loss where applicable.

Government securities

Government securities comprise treasury bills and treasury bonds, which are debt securities issued by the Government of Kenya. Treasury bills and bonds are classified as held to maturity and are stated at amortised cost.

Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

Originated loans and provision for loan impairments

Loans and advances are recognised when cash is advanced to borrowers. They are categorised as originated loans and carried at amortised cost.

Provisions for loan impairment are established if there is objective evidence that the bank will not be able to collect all amounts due

1. ACCOUNTING POLICIES (Continued)

Original loans and provisions for loan impairments *(continued)*

according to the original contractual terms of loans. The amount of the provision is the difference between the carrying amount and the recoverable amount, being the present value of expected cash flows, including amounts recoverable from guarantees and collateral, discounted at the original effective interest rate of loans.

Identified provisions are recognised for loans and advances that are individually significant. Unidentified provision is measured and recognised on a portfolio basis where there is objective evidence that probable losses are present in components of the loan portfolio at the balance sheet date. This is estimated based upon historical patterns of losses in each component, the credit ratings allocated to the borrowers and reflecting the current economic climate in which the borrowers operate.

When a loan is deemed uncollectible, it is written off against the related provision for impairment losses. Subsequent recoveries are credited to the provision for impairment losses in the profit and loss account. If the amount of the impairment subsequently decreases due to an event occurring after the write-down, the release of the provision is credited to the provision for impairment losses in the income statement.

Statutory reserve

IAS 39 requires the group to recognise an impairment loss when there is objective evidence that loans and advances are impaired. However, Central Bank of Kenya prudential guidelines require the bank to set aside amounts for impairment losses on loans and advances in addition to those losses that have been recognised under IAS 39. Any such amounts set aside represent appropriations of retained earnings and not expenses in determining profit or loss. These amounts are dealt with in the statutory reserve.

This is a change in accounting policy from previous years. Previously, general provisions made by the bank to comply with the prudential guidelines were recognised as an expense in the income statement. Consequently, this change in accounting policy has been applied retrospectively.

Property and equipment

Property and equipment are stated at cost or as professionally revalued from time to time less accumulated depreciation and accumulated impairment losses.

Depreciation is calculated on a straight line basis at annual rates estimated to write off the cost or valuation of property and equipment over their expected useful lives, on the following bases:

Buildings	2%
Furniture, fittings and equipment	20%
Motor vehicles	20%
Computers	33.3%

Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation reserve to revenue reserve.

The estimated useful lives, residual values and depreciation method are reviewed at each year end, with the effect of any changes in estimate accounted for prospectively.

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Intangible assets-computer software costs

Costs incurred on computer software are initially accounted for at cost as intangible assets and subsequently at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 5 years.

1. ACCOUNTING POLICIES (Continued)

Impairment of tangible and intangible assets excluding goodwill

At each balance sheet date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

Taxation

Income tax expense represents the sum of the current tax payable and the deferred taxation.

Current taxation is provided on the basis of the results for the year, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred taxation.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax credits can be utilised.

Foreign currencies

Assets and liabilities in foreign currencies are translated into Kenya shillings at rates of exchange ruling at the balance sheet date. Transactions during the year in foreign currencies are translated at rates ruling at the dates of the transactions. The resulting exchange differences are dealt with in the income statement.

Employee entitlements

Entitlements to annual leave are recognised when they accrue to employees. Provision is made for the estimated liability in respect of annual leave accrued on the balance sheet date.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contract.

Retirement benefit obligations

A new defined contribution scheme was established with effect from 1 January 2006 for eligible employees to replace the funded defined benefit plan which was wound up in 2005. The scheme is administered by external administrators and is funded by contributions from both the group and employees. The assets of this scheme are held in a separate trustee administered fund. The group's contributions to the defined contribution plan are charged to the income statement in the year to which they relate.

The group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Act. The group's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per month per employee. The group's contributions are charged to the income statement in the year to which they relate.

Financial instruments

A financial asset or liability is recognised when the group becomes party to the contractual provisions of the instrument.

The group classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans, advances and receivables; held- to- maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

1. ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are also categorised as held for trading.

Loans, advances and receivables

Loans advances and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the group provides money, goods or services directly to a debtor with no intention of trading the receivable.

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans, advances and receivables, or (c) financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the group has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans, advances and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement. Dividends on available-for-sale equity instruments are recognised in the income statement when the group's right to receive payment is established.

Fair values of quoted investments in active markets are based on quoted bid prices. Equity securities for which fair values cannot be measured reliably are measured at cost less impairment.

Impairment and uncollectability of financial assets

At each balance sheet date, all financial assets are subject to review for impairment.

If it is probable that the group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment loss has occurred. The amount of the loss is the difference between the asset's carrying amount and the present value of expected future cash flows discounted at the financial instrument's original effective interest rate (recoverable amount). The carrying amount of the asset is reduced to its estimated recoverable amount. The amount of the loss incurred is included in income statement for the period.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised directly in equity and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised directly in equity is removed from equity and recognised in the income statement for the period even though the financial asset has not been derecognised.

Financial liabilities

All financial liabilities are initially measured at fair value, net of transaction cost.

1. ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

Line of credit

Line of credit represents drawn down facilities extended to the bank. This liability is initially measured at fair value, net of transaction costs. Subsequently this liability are measured at amortised costs using the effective interest rate method.

Repurchase agreement transactions

Securities purchased from the Central Bank of Kenya under agreements to resell (" reverse repo's"), are disclosed as balances with Central Bank of Kenya as they are held to maturity after which they are repurchased and are not negotiable/discounted during the tenure. The difference between the sale and repurchase price is treated as interest and accrued over the life of the repurchase agreement using the effective yield method.

Leasing

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

The group as lessor

Amounts due from lessees under finance leases are recorded as receivables at the amount of the group's net investment in the leases. Finance lease income is allocated to accounting periods so as to reflect a constant periodic rate of return on the group's net investment outstanding in respect of the leases.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease.

The group as lessee

Rentals payable under operating leases are charged to income on a straight-line basis over the term of the relevant lease.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds are generally written by the bank to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event of the customer's default. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

Fiduciary activities

Assets and income arising thereon together with related undertakings to return such assets to customers are excluded from these financial statements where the bank acts in a fiduciary capacity such as nominee, trustee or agent.

Segmental reporting

Segment income includes revenue directly attributable to a segment. Segmental advances to customers comprise those advances that are directly attributable to the segment and can be allocated to the segment on a reasonable basis.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year. In particular, comparative figures have been restated to recognise the change in accounting policy on the statutory reserve.

2 CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS IN APPLYING THE GROUP'S ACCOUNTING POLICIES

In the process of applying the group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

Impairment losses on loans and advances

The group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cashflows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

Held -to-maturity investments

The group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the group evaluates its intention and ability to hold such investments to maturity. If the group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value not amortised cost.

Property, plant and equipment

Critical estimates are made by the directors in determining depreciation rates for property, plant and equipment.

3 SEGMENTAL REPORTING

AT 31 DECEMBER 2006

(a) Primary reporting format – Business segments

AT 31 DECEMBER 2006	Retail & Corporate Banking Shs'000	Asset Finance Shs'000	Other Shs'000	Total Shs'000
REVENUE				
External revenue	1,421,222	960,142	512,606	2,893,970
Inter – segment revenues	552,487	(393,311)	(159,176)	-
	1,973,709	566,831	353,430	2,893,970
RESULTS				
Profit before tax and impairment losses	583,593	525,481	(298,613)	810,461
Advances to customers	10,565,045	6,005,071	-	16,570,116
AT 31 DECEMBER 2005				
REVENUE				
External revenue	1,177,808	824,384	310,392	2,312,584
Inter – segment revenues	443,516	(414,925)	(28,591)	-
	1,621,324	409,459	281,801	2,312,584
RESULTS				
Profit before tax and impairment losses	477,287	379,068	(244,962)	611,393
Advances to customers	9,196,035	5,063,251	-	14,259,286

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

(b) Secondary reporting format – geographical segments

The group operates wholly within Kenya.

4 INTEREST INCOME

	2006 Sh'000	2005 Sh'000
Finance leases	941,391	813,982
Loans and advances to customers	1,147,188	934,278
Government securities	224,741	139,248
Short term deposits	47,627	48,938
Corporate bonds	4,900	3,894
	2,365,847	1,940,340

5 INTEREST EXPENSE

	2006 Sh'000	2005 Sh'000
Customer deposits	876,466	714,666
Lines of credit	21,145	25,759
Deposits by banks	13,639	30,443
	911,250	770,868

6 FEES AND COMMISSION INCOME

	2006 Sh'000	2005 Sh'000
Ledger related fees and commissions	107,402	88,816
Credit related fees and commissions	82,410	90,225
Transaction related fees	79,261	47,778
	269,073	226,819

7 GAINS ON FOREIGN EXHANGE DEALINGS

Gains on foreign currency dealings arose from trading in foreign currency transactions and also on the translation of foreign currency assets and liabilities.

8 OTHER OPERATING INCOME

	2006 Sh'000	2005 Sh'000
Other fees, penalties and charges	62,698	64,637
Rental income	20,026	22,106
Visa card income	25,319	9,990
Bad debts recovered	5,779	1,571
Profit on disposal of equipment	165	3,046
	113,987	101,350

9 OPERATING EXPENSES

	2006 Sh'000	2005 Sh'000
Staff costs (note 10)	564,794	318,953
Contribution to Deposit Protection Fund	21,781	15,121
Depreciation	87,667	69,350
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	28,131	22,826
Directors' emoluments - Fees	5,105	6,210
- Other	39,320	50,234
Auditors' remuneration	2,160	2,000
Operating lease rentals	30,687	29,328
Advertising costs	28,949	30,412
Switch/ATM costs	82,536	71,655
Utilities and rates	13,847	11,492
Telephone and postage	39,519	47,197
Printing and stationery	38,610	37,389
Computer and software maintenance	33,336	36,045
Travelling and vehicle running expenses	11,490	19,638
Legal and professional fees	17,752	27,046
Security	23,894	21,011
Share registration costs	10,318	8,628
Insurances	12,213	9,506
Other expenses	80,025	96,157
	1,172,259	930,323

10 STAFF COSTS

	2006 Sh'000	2005 Sh'000
Salaries and allowances	488,178	276,086
Staff training	11,280	8,609
Gratuity provision	3,380	10,921
NSSF contributions	613	569
Medical expenses	16,297	8,539
Pension costs	45,046	14,229
	564,794	318,953

The number of employees as at 31 December 2006 was 262 (2005 – 252).

	2006 Sh'000	2005 (restated) Sh'000
11 TAXATION		
(a) Taxation expense		
Current tax:		
Income tax based on the taxable profit for the year at 30%	225,045	130,032
Prior year under provision	5,005	4,531
	230,050	134,563
Deferred taxation: (note 29)		
(Credit)/charge for the year	(10,982)	2,620
	219,068	137,183
(b) Reconciliation of tax expense to the expected tax based on accounting profit		
Accounting profit before taxation	677,072	425,517
Tax at the applicable rate of 30%	203,122	127,655
Tax effect of expenses not deductible for tax	10,941	4,754
Tax effect of income not subject to tax	-	(494)
Prior year deferred tax over provision	-	737
Prior year under provision - current tax	5,005	4,531
	219,068	137,183
(c) Taxation payable/(recoverable) movement		
At beginning of the year	(6,968)	1,697
Taxation charge	230,050	134,563
Taxation paid	(146,887)	(143,228)
At end of year	76,195	(6,968)

12 PROFIT FOR THE YEAR

The profit for the year dealt with in the bank financial statements of NIC Bank Limited is Sh 456,591,000 (2005 - Sh 288,585,000).

13 EARNINGS PER SHARE

Earnings per share is calculated by dividing the net profit attributable to shareholders by the number of ordinary shares in issue during the year.

	2006	2005
Earnings (Sh'000)		
Earnings for purposes of basic earnings per share	458,004	288,334
Effect of dilutive potential ordinary shares	-	-
Earnings for purposes of diluted earnings per share	458,004	288,334
Number of shares (In thousands)		
Number of ordinary shares for purposes of basic earnings per share (thousands)	82,415	82,415
Effect of dilutive potential ordinary shares	-	-
Number of ordinary shares for purposes of diluted earnings per share (thousands)	82,415	82,415
Earnings per share (Sh)		
Basic and diluted	5.56	3.50

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent entity. There were no discontinued operations during the year.

14 DIVIDENDS

During the year an interim dividend of Sh 0.80 (2005 - Sh 0.70) amounting to a total of Sh 65,932,000 (2005 - Sh 57,690,000) was paid to shareholders.

At the annual general meeting scheduled for 16 May 2007, a final dividend in respect of 2006 of Sh 1.90 per share (2005 - Sh 1.80 per share) amounting to a total of Sh 156,588,000 (2005 - Sh 148,346,000) is to be proposed by the directors. The total estimated dividend for the year to be paid is therefore, Sh 2.70 per share (2005 - Sh 2.50 per share) amounting to a total of Sh 222,521,000 (2005 - Sh 206,036,000). The final proposed dividend for the year is subject to approval by shareholders at the annual general meeting and has not been included in these financial statements.

	2006 Sh'000	2005 Sh'000
The movement in unclaimed dividend is as follows:		
At 1 January	30,990	26,299
Final dividend declared	148,346	140,105
Interim dividend declared	65,932	57,690
Dividend paid	(218,841)	(193,104)
At 31 December	26,427	30,990

Payment of dividends to members with shareholding below 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents.

15 CASH AND BALANCES WITH CENTRAL BANK OF KENYA-

GROUP AND BANK	2006 Sh'000	2005 Sh'000
Cash on hand	387,516	258,930
Balances with Central Bank of Kenya		
- Cash ratio requirement	1,303,422	981,801
-Balances with Central Bank of Kenya under repurchase agreements	708,195	-
- Other (available for use by the group)	276,036	371,748
	2,675,169	1,612,479

The cash ratio requirement is non interest bearing and is based on the customer deposits with the bank as adjusted by the Central Bank of Kenya requirements. As at 31 December 2006 the cash ratio requirement was 6% (2005 - 6%) of all customer deposits. These funds are not available for the day to day operations of the group.

16 GOVERNMENT SECURITIES

	GROUP		BANK	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
(a) Treasury bills				
Held to maturity:				
Maturing within 90 days of the balance sheet date				
Face value	1,081,300	1,499,650	1,050,000	1,469,650
Less: Unearned discount	(16,726)	(15,898)	(16,442)	(15,627)
	1,064,574	1,483,752	1,033,558	1,454,023
(b) Treasury bills				
Held to maturity:				
Maturing after 90 days of the balance sheet date				
Face value	1,050,000	600,000	1,050,000	600,000
Less: Unearned discount	(16,442)	(17,866)	(16,442)	(17,866)
	1,033,558	582,134	1,033,558	582,134
(c) Treasury bonds				
Held to maturity:				
at amortised cost				
- maturing within 1 year	50,556	356,901	50,556	356,901
- maturing after 1 year	-	50,000	-	50,000
	50,556	406,901	50,556	406,901
	2,148,688	2,472,787	2,117,672	2,443,058

The weighted average effective interest rate on treasury bills at 31 December 2006 was 6.8 % (2005 - 8.0 %) and the rate for treasury bonds was 9.5 % (2005 - 5.0 %).

17 DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS

GROUP AND BANK	2006 Sh'000	2005 Sh'000
Maturing within 90 days of the balance sheet date		
Balances due from banking institutions	3,657,994	1,250,975
Deposits due from banking institutions	92,053	154,000
	3,750,047	1,404,975

The weighted average effective interest rate for deposits due from banking institutions at 31 December 2006 was 6.28% (2005 – 8.69%).

18 ADVANCES TO CUSTOMERS

GROUP AND BANK

		2006 Sh'000	2005 (restated) Sh'000
(a)	Finance lease receivables (Note 18(e))	6,838,822	6,315,054
	Loans and advances to customers	10,732,005	9,130,884
		17,570,827	15,445,938
	Corporate bonds (Note 18(b))	40,782	85,210
	Bills discounted (Note 18(c))	15,315	125,192
		17,626,924	15,656,340
	Unearned finance charges	(343,282)	(794,648)
	Impairment provision (Note 19)	(713,526)	(602,406)
		16,570,116	14,259,286
(b)	Corporate bonds		
	Maturing within 90 days:		
	Floating rate note due 2007	40,000	85,000
	Interest receivable	782	210
		40,782	85,210
(c)	Bills discounted		
	Maturing within 90 days:		
	Gross value	15,315	126,836
	Less unearned discount	-	(1,644)
		15,315	125,192

18 ADVANCES TO CUSTOMERS (Continued)

The weighted average effective interest rates on advances to customers at year end were as follows:

	2006	2005
Finance lease receivables	14.90%	15.00%
Loan and advances	14.20%	13.50%
Corporate bonds	9.65%	9.65%
Bills discounted	7.50%	5.70%

Included in net advances of Sh 16,570,116,000 (2005 – Sh 14,259,286,000) are loans and advances amounting to Sh 624,236,000 (2005 – Sh 175,918,000), net of specific provisions, which have been classified as non-performing.

(d) Analysis of gross advances including finance leases by maturity:

	2006 Sh'000	2005 Sh'000
Maturing within one year	6,803,754	5,358,437
Over one year to three years	5,595,603	6,263,717
Over three years	5,171,470	3,823,784
	17,570,827	15,445,938

(e) Finance lease receivables

	Minimum lease payments		Present value of minimum lease payments	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Amounts receivable under finance leases:				
Within one year	1,056,753	924,359	1,031,968	900,927
In the second to fifth years inclusive	5,782,069	5,390,695	5,463,572	4,619,479
	6,838,822	6,315,054	6,495,540	5,520,406
Less: unearned finance income	(343,282)	(794,648)	-	-
Present value of minimum lease payments receivable	6,495,540	5,520,406	6,495,540	5,520,406

The bank enters into finance leasing arrangements for certain plant, equipment and motor vehicles. The average term of finance leases entered into is 3 years.

Unguaranteed residual values of assets leased under finance leases are estimated at nil (2005 : nil).
The interest rate inherent in the leases is variable at the contract date for all of the lease term.

The related party transactions and balances are covered under note 34 and concentrations of advances to customers are covered under note 33.

19 IMPAIRMENT LOSS PROVISION ON LOANS AND ADVANCES

GROUP AND BANK

	Specific provision Sh'000	General provision Sh'000	2006 Total Sh'000	2005 Total Sh'000
At 1 January				
- as previously stated	529,947	204,507	734,454	547,716
Prior year adjustment				
- transfer to specific provision	72,459	(72,459)	-	-
- transfer to statutory reserve	-	(132,048)	(132,048)	(109,541)
As restated	602,406	-	602,406	438,175
Provisions in the year	133,389	-	133,389	185,876
Written off	(22,269)	-	(22,269)	(21,645)
At 31 December	713,526	-	713,526	602,406

20 OTHER ASSETS

	GROUP		BANK	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Clearing account	203,669	208,907	203,669	208,907
Prepayments	20,534	14,935	20,534	14,934
Other receivables	123,372	101,932	119,167	96,577
	347,575	325,774	343,370	320,418

21 INVESTMENT IN SUBSIDIARY COMPANIES

	2006 Sh'000	2005 Sh'000
National Industrial Credit Trustees Limited (100% shareholding) - at cost	500	500
Mercantile Finance Company Limited (100% shareholding) - at cost	50,000	50,000
The African Mercantile Banking Company Limited (100% shareholding) - at net asset value	1	1
NIC Capital Limited (100% shareholding) - at cost	30,000	30,000
	80,501	80,501

21 INVESTMENT IN SUBSIDIARY COMPANIES (Continued)

All the subsidiary companies have financial years ending 31 December. The subsidiary companies are controlled by the bank and have been consolidated into these financial statements and are all incorporated and domiciled in Kenya.

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2005 - Sh nil), and the revenue reserve balance was Sh nil (2005 - Sh nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2006. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2005 - Sh nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2006. The audited financial statements show that the company made no profit or loss for the year and the revenue reserve balance was Sh nil (2005 - Sh nil).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements show that the company made a profit of Sh 1,413,000 (2005 – loss of Sh 251,000).

DUE TO SUBSIDIARY COMPANY

BANK

	2006 Sh'000	2005 Sh'000
Mercantile Finance Company Limited		
- Deposits held	4,839	3,270
- Other payables	42,026	42,020
	46,865	45,290

22 INTANGIBLE ASSETS

GROUP AND BANK

	Computer software	
	2006 Sh'000	2005 Sh '000
COST		
At 1 January	141,059	80,069
Additions	7,033	60,990
At 31 December	148,092	141,059
AMORTISATION		
At 1 January	60,441	37,615
Charge for the year	28,131	22,826
At 31 December	88,572	60,441
NET BOOK VALUE		
At 31 December	59,520	80,618

23 PROPERTY AND EQUIPMENT

GROUP AND BANK

	Buildings Sh'000	Furniture fittings and equipment Sh'000	Motor vehicles Sh'000	Total Sh'000
COST OR VALUATION				
At 1 January 2005	315,665	341,282	68,258	725,205
Additions	-	116,201	4,794	120,995
Disposals	-	(3,496)	(40,163)	(43,659)
At 31 December 2005	315,665	453,987	32,889	802,541
At 1 January 2006	315,665	453,987	32,889	802,541
Additions	-	58,842	3,506	62,348
Disposals	-	(4,191)	-	(4,191)
At 31 December 2006	315,665	508,638	36,395	860,698
Comprising:				
Cost	16,057	508,638	36,395	561,090
Valuation – 2003	299,608	-	-	299,608
At 31 December 2006	315,665	508,638	36,395	860,698
DEPRECIATION				
At 1 January 2005	21,848	185,022	22,518	229,388
Charge for the year	7,673	51,844	9,833	69,350
Eliminated on disposals	-	(2,798)	(22,130)	(24,928)
At 31 December 2005	29,521	234,068	10,221	273,810
At 1 January 2006	29,521	234,068	10,221	273,810
Charge for the year	8,111	71,470	8,086	87,667
Eliminated on disposals	-	(3,952)	-	(3,952)
At 31 December 2006	37,632	301,586	18,307	357,525
NET BOOK VALUE				
At 31 December 2006	278,033	207,052	18,088	503,173
At 31 December 2005	286,144	219,919	22,668	528,731

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Sh 128,366,327 (2005 - Sh 138,692,270) which were fully depreciated. The normal depreciation charge on these assets would have been Sh 34,578,438 (2005 - Sh 27,738,454). Computers are included under furniture, fittings and equipment.

Buildings were revalued as at 31 December 2003 by independent valuers, Lloyd Masika Limited, Registered Valuers, on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2006, the net book value of buildings based on original cost was Sh 128,366,327 (2005 - Sh 132,200,241).

24 OPERATING LEASE PREPAYMENTS

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
COST		
At 31 December	10,000	10,000
AMORTISATION		
At 1 January	1,750	1,625
Amortisation for the year	125	125
At 31 December	1,875	1,750
NET BOOK VALUE		
At 31 December	8,125	8,250

25 CUSTOMER DEPOSITS

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
Current accounts	6,344,265	3,901,808
Savings accounts	1,781,151	1,434,632
Call deposits	1,774,318	1,167,200
Fixed deposits	12,078,344	10,071,758
	21,978,078	16,575,398
Analysis of customer deposits by maturity:		
Payable within 90 days	20,077,315	15,602,698
Payable after 90 days and within one year	1,863,656	921,854
Payable after one year	37,107	50,846
	21,978,078	16,575,398

The weighted average effective interest rate on interest bearing customer deposits at 31 December 2006 was 4.72% (2005 – 5.45%).

The related party transactions and balances are covered under note 39 and concentrations of customer deposits is covered under note 38.

26 OTHER LIABILITIES

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
Bills payable	293,582	248,812
Other payables and accruals	168,753	123,419
Leave pay provision	6,894	1,860
	469,229	374,091

27 LINE OF CREDIT

The bank has an unsecured revolving medium term line of credit of US$ 5,000,000 with Agence Francaise De Development/PROPARCO for on-lending to customers. As at 31 December 2006, the draw down was US$ 3,999,924 (2005 - US$ 4,901,851).

	2006 Sh'000	2005 Sh'000
Maturity		
Payable within one year	85,076	85,380
Payable after one year and within three years	49,505	193,679
Payable after three years	143,614	75,345
	278,195	354,404

The weighted average effective interest rate on the lines of credit at 31 December 2006 was 5.93% (2005 - 5.97%).

28 DEPOSITS DUE TO BANKING INSTITUTIONS

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
Maturing within 90 days:		
Deposits due to banking institutions	165,089	528,529

The weighted average effective interest rate for balances due to banking institutions at 31 December 2006 was 6.56% (2005 - 6.67%). All mature within 90 days of the balance sheet date.

29 DEFERRED TAX LIABILITY

GROUP AND BANK

	2006 Sh'000	2005 (restated) Sh'000
The net deferred tax liability computed at the enacted rate of 30%, is attributable to the following items:		
Assets:		
Leave pay provision	(1,978)	(558)
Gratuity provision	-	(6,326)
Accelerated capital allowances	(9,964)	-
	(11,942)	(6,884)
Liabilities:		
Revaluation surplus	44,900	46,183
Excess capital allowances over depreciation	-	4,641
	44,900	50,824
	32,958	43,940
Movement in net deferred tax liability is as follows:		
At 1 January		
- As previously stated	(17,412)	(10,211)
- prior year adjustment	61,352	51,531
As restated	43,940	41,320
Income statement (credit)/charge (note 11)	(10,982)	2,620
At 31 December	32,958	43,940

The prior year adjustment relates to the reversal of the deferred tax asset on general provision as a result of the changes in accounting policy on the statutory reserve.

30 SHARE CAPITAL

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
Authorised, issued and fully paid		
82,414,551 ordinary shares of Sh 5 each	412,073	412,073

31 SHARE PREMIUM

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
At 1 January and 31 December	299,943	299,943

32 REVALUATION SURPLUS

GROUP AND BANK

	2006 Sh'000	2005 Sh'000
At 1 January	107,761	142,033
Transfer of excess depreciation		
- prior year	-	(31,279)
- current year	(4,276)	(4,276)
Deferred tax on excess depreciation	1,283	1,283
At 31 December	104,768	107,761

33 REVENUE RESERVES

	GROUP		BANK	
	2006 Sh'000	2005 (Restated) Sh'000	2006 Sh'000	2005 (Restated) Sh'000
At 1 January				
- as previously stated	1,902,043	1,649,813	1,902,169	1,649,688
Prior year adjustment	(61,352)	(51,531)	(61,352)	(51,531)
At 1 January as restated	1,840,691	1,598,282	1,840,817	1,598,157
Profit for the year	458,004	288,334	456,591	288,585
Transfer of excess depreciation				
- prior year	-	31,279	-	31,279
- current year	4,276	4,276	4,276	4,276
Deferred tax on excess depn	(1,283)	(1,283)	(1,283)	(1,283)
Transfer to statutory reserve	(18,102)	(22,507)	(18,102)	(22,507)
Final dividends paid	(148,346)	-	(148,346)	-
Interim dividends declared	(65,932)	(57,690)	(65,932)	(57,690)
At 31 December	2,069,308	1,840,691	2,068,021	1,840,817

The prior year adjustment relates to reversal of deferred tax asset on general provisions on loans and advances as a result of changes in the accounting policy on the statutory reserve.

34 STATUTORY RESERVE

GROUP AND BANK

	2006 Sh'000	2005 (restated) Sh'000
At 1 January		
- As previously stated	-	-
Prior year adjustment	132,048	109,541
At 1 January (restated)	132,048	109,541
Transfer from revenue reserves	18,102	22,507
At 31 December	150,150	132,048

Central Bank of Kenya prudential guidelines require the group to make an appropriation to a statutory reserve for unforeseeable risks and future losses.

The amount transferred is the excess of loan provision computed in accordance with the Central Bank of Kenya prudential guidelines over the impairment of loan and advances arrived at in accordance with IAS 39. The statutory reserve is not distributable.

35 NOTES TO THE CASH FLOW STATEMENT

(a) Reconciliation of profit before taxation to cash generated from operations

	2006 Sh'000	2005 (restated) Sh'000
Profit before taxation	677,072	425,517
Adjustments for:		
Depreciation	87,667	69,350
Amortisation of operating lease prepayments	125	125
Amortisation of intangible assets	28,131	22,826
Profit on sale of equipment	(165)	(3,046)
Profit before working capital changes	792,830	514,772
Increase in balances with Central Bank of Kenya (cash ratio requirement)	(321,621)	(324,844)
Increase in advances to customers	(2,310,830)	(2,608,550)
Decrease in treasury bonds	356,345	144,816
Increase in treasury bills maturing after 90 days	(451,424)	(582,134)
(Increase)/decrease in other assets	(21,801)	43,246
Decrease in retirement benefit asset	-	3,935
Increase in customer deposits	5,402,680	4,071,387
Increase/(decrease) in other liabilities	95,138	(140,209)
Decrease in lines of credit	(76,209)	(247,240)
Cash generated from operations	3,465,108	875,179

35 NOTES TO THE CASH FLOW STATEMENT (Continued)

(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes

	2006 Sh'000	2005 Sh'000
Cash on hand	387,516	258,930
Balance with Central Bank of Kenya under repurchase agreement	708,195	-
Balance with Central Bank of Kenya - other	276,036	371,748
Treasury bills	1,064,574	1,483,752
Deposits and balances due from banking institutions	3,750,047	1,404,975
Balances due to banking institutions	(165,089)	(528,529)
	6,021,279	2,990,876

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances.

36 CONTINGENCIES AND COMMITMENTS INCLUDING OFF BALANCE SHEET ITEMS

(a) Contingent liabilities

	2006 Sh'000	2005 Sh'000
Letters of credit	1,089,147	566,125
Letters of guarantee and performance bonds	869,085	627,227
Other	350,226	284,633
	2,308,458	1,477,985

Letters of credit are commitments by the bank to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers.

Letters of guarantee and performance bonds are issued by the bank, on behalf of customers, to guarantee performance by customers to third parties. The bank will only be required to meet these obligations in the event of default by the customers.

Other contingent liabilities relate to export or import bills for collection. The bank may be required to meet these obligations in the event of default by the customers.

Concentrations of contingent liabilities is covered under note 38

36 CONTINGENCIES AND COMMITMENTS INCLUDING OFF BALANCE SHEET ITEMS (Continued)

(b) Capital commitments

	2006 Sh'000	2005 Sh'000
Authorised but not contracted for	268,025	260,176
Authorised and contracted for	38,000	7,500

(c) Commitments to extend credit

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation to extend credit by giving reasonable notice to the customer.

(d) Operating lease arrangements

The group as a lessor

Rental income earned during the year was Sh 22,106,000 (2005 – Sh 23,589,000). At the balance sheet date, the group had contracted with tenants for the following future lease receivables:

	2006 Sh'000	2005 Sh'000
Within one year	20,027	20,024
In the second to fifth year inclusive	21,537	40,382
	41,564	60,406

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months notice to vacate the premises.

The group as a lessee

At the balance sheet date, the group had outstanding commitments under operating leases which fall due as follows:

	2006 Sh'000	2005 Sh'000
Within one year	33,201	24,450
In the second to fifth year inclusive	92,810	86,019
After five years	-	123
	126,011	110,592

Operating lease payments represent rentals payable by the group for its office premises. Leases are negotiated for an average term of 6 years.

37 DERIVATIVE FINANCIAL INSTRUMENTS

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate. The group transacts in foreign exchange forward contracts principally for the purpose of generating a profit from short term fluctuations in exchange rates. The contracts purchased are primarily denominated in the currencies of the bank's principal markets.

At the balance sheet date, the group did not have any outstanding forward contracts.

38 CONCENTRATIONS OF ASSETS, LIABILITIES AND OFF BALANCE SHEET ITEMS

Details of significant concentrations of the group's assets, liabilities and off balance sheet items by industry groups are as detailed below:

(a) Advances to customers

	2006		2005	
	Sh'000	%	Sh'000	%
Wholesale and retail	1,391,092	8	956,101	6
Real estate	1,247,291	7	1,107,806	7
Business services	3,371,643	20	1,174,156	8
Agriculture	1,233,449	7	1,300,910	8
Social community and personal services	2,227,864	13	3,770,098	24
Manufacturing	2,976,321	17	2,630,205	18
Transport and communication	3,482,114	20	2,752,475	18
Other	1,641,053	8	1,754,187	11
	17,570,827	100	15,445,938	100

(b) Customer deposits

	2006		2005	
	Sh'000	%	Sh'000	%
Mortgage finance companies	407,867	2	350,000	2
Commercial banks	-		112,441	1
Non bank financial institutions	-		1,362,852	8
Co-operative societies	61,953	1	34,527	-
Insurance companies	2,240,411	10	2,339,315	14
Non profit institutions and individuals	6,162,867	28	5,996,065	36
Private enterprises	13,104,980	59	6,380,198	39
	21,978,078	100	16,575,398	100

38 CONCENTRATIONS OF ASSETS, LIABILITIES AND OFF BALANCE SHEET ITEMS (Continued)

(c) Off balance sheet items (letters of credit and guarantees and forward contracts)

	2006		2005	
	Sh'000	%	Sh'000	%
Real estate	5,934	0	6,240	0
Social community and personal services	21,487	1	15,506	1
Agriculture	25,576	1	16,732	1
Business services	82,688	4	97,691	7
Wholesale and retail	66,732	3	135,061	9
Transport and communication	219,343	10	247,834	17
Manufacturing	671,179	29	518,395	35
Other	1,215,519	52	440,526	30
	2,308,458	100	1,477,985	100

39 RELATED PARTY TRANSACTIONS

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

Placings are made in the bank by directors, their associates and companies associated to directors. Advances to customers at 31 December 2006 include advances and loans to companies associated to directors. Contingent liabilities at 31 December 2006 include guarantees and letters of credit for companies associated to directors.

All transactions with related parties are at arm's length in the normal course of business, and on terms and conditions similar to those applicable to other customers.

	Directors Associated companies		Employees/staff	
	2006 Sh'000	2005 Sh'000	2006 Sh'000	2005 Sh'000
Movement in related party balances was as follows:				
Loans and advances:				
At 1 January	284,376	146,146	200,315	157,615
Net movement during the year	44,362	138,230	33,598	42,700
At 31 December	328,738	284,376	233,913	200,315
Interest earned	30,518	14,105	17,162	13,253

39 RELATED PARTY TRANSACTIONS (Continued)

These loans and advances are performing and are adequately secured.

	Directors Associated companies 2006 Sh'000	2005 Sh'000	Employees/staff 2006 Sh'000	2005 Sh'000
Deposits:				
At 1 January	2,658,709	2,389,411	24,792	16,756
Net movement during the year	878,659	269,298	23,715	8,036
At 31 December	3,537,368	2,658,709	48,507	24,792
Interest paid	134,892	134,633	1,151	2,208

	2006 Sh'000	2005 Sh'000
Guarantees and letters of credit to Companies associated to directors	87,995	40,095

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2006 Sh'000	2005 Sh'000
Salaries and other benefits	123,846	83,291
Directors' remuneration		
Fees for services as directors	5,105	6,210
Other emoluments (included in key management compensation above)	39,320	50,234
	44,425	56,444

40 LIQUIDITY RISK

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2006 to the contractual maturity date.

LIQUIDITY RISK	Up to 1 month Sh'000	1 to 3 Months Sh'000	4 to 6 months Sh'000	6 to 12 Months Sh'000	1 to 3 years Sh'000	4 to 5 years Sh'000	Over 5 years Sh'000	Total Sh'000
ASSETS								
Cash and balances with Central Bank of Kenya	1,929,280	601,094	103,302	7,132	2,198	-	32,163	2,675,169
Government securities	885,908	178,667	1,084,113	-	-	-	-	2,148,688
Deposits and balances due from banking institutions	3,750,047	-	-	-	-	-	-	3,750,047
Advances to customers	606,180	1,935,831	1,547,868	2,177,478	5,351,675	4,171,473	779,611	16,570,116
Other assets	347,575	-	-	-	-	-	-	347,575
Intangible assets	-	-	-	-	-	-	503,173	503,173
Property and equipment	-	-	-	-	-	-	59,520	59,520
Operating lease prepayments	-	-	-	-	-	-	8,125	8,125
Total assets	7,518,990	2,715,592	2,735,283	2,184,610	5,353,873	4,171,473	1,382,592	26,062,413
EQUITY AND LIABILITIES								
Customers deposits	9,943,775	10,133,540	1,743,375	120,281	37,107	-	-	21,978,078
Other liabilities	469,229	-	-	-	-	-	-	469,229
Line of credit	-	-	43,023	42,053	49,505	143,614	-	278,195
Deposits due to banking institutions	165,089	-	-	-	-	-	-	165,089
Taxation payable	-	-	76,195	-	-	-	-	76,195
Unclaimed dividends	26,427	-	-	-	-	-	-	26,427
Deferred tax liability	-	-	-	-	-	-	32,958	32,958
Shareholders' funds	-	-	-	-	-	-	3,036,242	3,036,242
Total equity and liabilities	10,604,520	10,133,540	1,862,593	162,334	86,612	143,614	3,069,200	26,062,413
Net liquidity gap	(3,085,530)	(7,417,948)	872,690	2,022,276	5,267,261	4,027,859	(1,686,608)	-
At 31 December 2005								
Total assets	5,392,341	1,922,182	2,148,250	1,598,458	5,421,284	2,551,348	1,666,005	20,699,868
Total equity and liabilities	7,453,927	9,123,913	634,402	331,300	244,525	75,342	2,836,459	20,699,868
Net liquidity gap	(2,061,586)	(7,201,731)	1,513,848	1,267,158	5,176,759	2,476,006	(1,170,454)	-

41 INTEREST RATE RISK

The group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The table below summarises the exposure to interest rate risk. Included in the table are the group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The group does not bear an interest rate risk on off balance sheet items.

INTEREST RATE RISK	Up to 1 month Sh'000	1 to 3 months Sh'000	4 to 6 months Sh'000	7 to 12 months Sh'000	1 to 3 years Sh'000	Over 3 years Sh'000	Non-interest bearing Sh'000	Total Sh'000
ASSETS								
Cash and balances with Central Bank of Kenya	708,195	-	-	-	-	-	1,966,974	2,675,169
Government securities	885,908	178,667	1,084,113	-	-	-	-	2,148,688
Deposits and balances due from banking institutions	3,750,047	-	-	-	-	-	-	3,750,047
Advances to customers	612,483	1,929,528	1,547,868	2,177,478	5,351,675	4,951,084	-	16,570,116
Other assets	-	-	-	-	-	-	347,575	347,575
Intangible assets	-	-	-	-	-	-	59,520	59,520
Property and equipment	-	-	-	-	-	-	503,173	503,173
Operating lease prepayments	-	-	-	-	-	-	8,125	8,125
Total assets	5,956,633	2,108,195	2,631,981	2,177,478	5,351,675	4,951,084	2,885,367	26,062,413
EQUITY AND LIABILITIES								
Customers deposits	3,255,241	10,133,540	1,743,375	120,281	37,107	-	6,688,534	21,978,078
Other liabilities	-	-	-	-	-	-	469,229	469,229
Line of credit	-	-	43,023	42,053	49,505	143,614	-	278,195
Deposits due to banking institutions	165,089	-	-	-	-	-	-	165,089
Taxation payable	-	-	-	-	-	-	76,195	76,195
Unclaimed dividends	-	-	-	-	-	-	26,427	26,427
Deferred tax liability	-	-	-	-	-	-	32,958	32,958
Shareholders' funds	-	-	-	-	-	-	3,036,242	3,036,242
Total equity and liabilities	3,420,330	10,133,540	1,786,398	162,334	86,612	143,614	10,329,585	26,062,413
Net Interest Sensitivity gap	2,536,303	(8,025,345)	845,583	2,015,144	5,265,063	4,807,470	(7,444,218)	-
At 31 December 2005								
Total assets	3,562,797	1,713,654	2,134,171	1,591,766	5,419,770	3,582,842	2,694,868	20,699,868
Total equity and liabilities	7,048,846	9,123,913	634,402	331,300	244,525	75,345	3,241,537	20,699,868
Interest rate sensitivity gap	(3,486,049)	(7,410,259)	1,499,769	1,260,466	5,175,245	3,507,497	(546,669)	-

42 CURRENCY RISK

The group operates wholly within Kenya and its assets and liabilities are reported in the local currency.

The group's currency risk is managed within the Central Bank of Kenya exposure guideline of 20% core capital. The group's man agement monitors foreign currency exposure on a daily basis.

The group's currency position is as follows:

	KES Sh'000	GBP Sh'000	USD Sh'000	EURO Sh'000	OTHERS Sh'000	TOTAL Sh'000
ASSETS						
Cash and balances with						
Central Bank of Kenya	2,522,941	17,805	78,408	53,143	2,872	2,675,169
Government securities	2,148,688	-	-	-	-	2,148,688
Deposits and balances due from		-	-	-	-	
banking institutions	440,000	360,937	1,634,347	208,134	1,106,629	3,750,047
Advances to customers	14,021,134	56	2,320,870	228,056	-	16,570,116
Other assets	28,567	272	208,784	109,169	783	347,575
Intangible assets	59,520	-	-	-	-	59,520
Property and equipment	503,173	-	-	-	-	503,173
Operating lease prepayments	8,125	-	-	-	-	8,125
	-	-	-	-		
Total assets	19,732,148	379,070	4,242,409	598,502	1,110,284	26,062,413
EQUITY AND LIABILITIES						
Customers deposits	18,371,583	279,112	2,858,469	447,646	21,268	21,978,078
Other liabilities	60,006	167,169	40,380	41,852	159,822	469,229
Line of credit	-	-	106,098	172,097	-	278,195
Deposits due to banking institutions	165,089	-	-	-	-	165,089
Taxation payable	76,195	-	-	-	-	76,195
Unclaimed dividends	26,427	-	-	-	-	26,427
Deferred tax liability	32,958	-	-	-	-	32,958
Shareholders' funds	3,036,242	-	-	-	-	3,036,242
Total equity and liabilities	21,768,500	446,281	3,004,947	661,595	181,090	26,062,413
NET BALANCE SHEET POSITION	(2,036,352)	(67,211)	1,237,462	(63,093)	929,194	-
OFF BALANCE SHEET POSITION	2,094,854	68,080	(1,207,305)	-	(955,629)	

43 RISK MANAGEMENT POLICIES

In the course of its business, the group is faced with various risks that evolve from time to time. The Board of Directors has built a risk management framework for the measuring, monitoring, controlling and mitigation of the group's risks. This framework is integrated in the overall management information systems of the bank and appropriately supplemented by a management reporting structure.

The significant group's financial risk management objectives and policies are outlined below:

Interest rate risk

The group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced at both fixed and floating rates. In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are either pegged to the bank's base lending rate or treasury bill rate. The base rate is adjusted from time to time to reflect the cost of deposits.

Hedging activities are evaluated regularly in line with the average interest rate and the defined risk appetite. Optimal hedging strategies are applied, by positioning the balance sheet or protecting interest expense through different interest rate cycles.

Interest rate on customer deposits are negotiated between the bank and the customer with the bank retaining the discretion to adjust the rates in line with changes in market trends. The interest rates, therefore, fluctuate depending on the movement in the market interest rates. The group also invests in fixed interest rate instruments issued by the Government of Kenya through the Central bank of Kenya.

Liquidity risk

The group is exposed to the risk that it will encounter difficulty in raising funds to meet commitments associated with financial instruments as they occur. The group mitigates this risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities. In addition to the foregoing, the group continuously monitors forecasts and actual cash flows and matches maturity profiles of assets and liabilities. Liquidity risk is addressed through the following measures:

- The bank enters into lending contracts subject to availability of funds.
- The bank has an aggressive strategy aimed at increasing the customer deposit base.
- The bank borrows from the market through inter bank transactions with other banks, pension funds and insurance companies for short term liquidity requirements.
- The bank invests in short term liquid instruments, which can easily be sold in the market when the need arises.
- Investments in property and equipment are properly budgeted for and done when the group has sufficient cash flows.

Currency risk

The group is exposed to the risk that the value of financial instruments will fluctuate due to changes in foreign exchange rates. Forex exposure limits are reviewed and approved by the board. Foreign currency risk is addressed through the following measures;

- On a daily basis, the overall Foreign exchange risk exposure is measured using spot mid-rates as availed by the Central bank of Kenya and should not exceed 20 % of the Group`s Core Capital.
- The single currency exposure, irrespective of short or long position should not exceed the limit of 20% of core capital.
- Intra-day foreign exchange exposures are limited within strictly defined limits by the Board of Directors.

43. RISK MANAGEMENT POLICIES (Continued)

Credit risk

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the group. The amounts presented in the balance sheet are net of impairment for doubtful debts, estimated by the group's management based on prior experience and their assessment of the current economic environment. Credit risk is mitigated through the following measures;

- Adherence to approved Credit Policy which defines the nature of business undertaken and the minimum risk acceptance criteria
- Strictly dealing with creditworthy counter parties and obtaining sufficient collateral and corporate guarantees, where appropriate, though ability to pay is the primary consideration.
- The group structures the level of credit risk it undertakes by placing limits on amounts of risk accepted in relation to one borrower or a group of borrowers.
- Regular analysis of the ability of borrowers to meet interest and capital repayment obligations and by pro-actively taking remedial action where appropriate.
- The group has no significant concentration of credit risk in any one sector, or customer having similar characteristics, as exposure is spread over diverse geographical and industrial sectors, notwithstanding personal and commercial customers as set out in note 38.

Operational Risk

The group is exposed to operational risk, which is associated with human error, system failures and inadequate procedures and controls. The Management ensures that;

- An effective, integrated operational risk management framework that incorporates a clearly defined organizational structure is maintained.
- Each department has defined roles and responsibilities for all aspects of operational risk management.
- Appropriate tools that support the identification, assessment, control and reporting of key risks are used.
- All Information technological services systems architecture are highly scalable and require minimal lead-time to increase capacity to match growth in demand.
- Operational risk systems are subjected to independent reviews including testing from external reputable firms.

Compliance Risk

The group has a compliance officer, who is tasked with monitoring ongoing legislative compliance.

44 ASSETS PLEDGED AS SECURITY

As at 31 December 2006, there were no assets pledged by the group to secure liabilities and there were no secured group liabilities.

45 FAIR VALUE

The directors consider that there is no material difference between the fair value and carrying value of the group's financial assets and liabilities where fair value details have not been presented.

46 FIDUCIARY ACTIVITIES

The bank holds asset security documents on behalf of customers with a value of Sh 7,628,452,528 (2005 -Sh 4,967,294,643). Most of these securities are held by the custody services department. The assets held comprise deposits with financial institutions, government securities and quoted and unquoted securities.

47 COUNTRY OF INCORPORATION

The company is incorporated and domiciled in Kenya under the Companies Act.

48 CURRENCY

The individual financial statements of each group entity are presented in the currency of the primary economic environment in which the entity operates (its functional currency). For the purpose of the consolidated financial statements, the results and financial position of each entity are presented in Kenya Shillings thousands (Sh'000), which is the functional currency of the group, and the presentation currency for the consolidated financial statements.

NOTES
Maelezo

The Secretary,
NIC Bank Limited,
NIC House
Masaba Road,
P.O. Box 44599,
00100, GPO Nairobi

Proxy

I/We ____

of ____

being a member/members of NIC Bank Limited and entitled to

____

votes hereby appoint ____

of ____

or failing him ____

of ____

as my/our Proxy to vote for me/us on my/our behalf at the Annual General meeting of the company to be held on 16 May 2007 and at any adjournment thereof.

As witness my/our hand this ____________________ day of ____________________ 2007

Signature(s) of

____

Note: In case of a Corporation, the Proxy must be made under its Common Seal.

FOMU YA MWAKILISHI

Katibu,
NIC Bank Limited,
NIC House
Masaba Road,
P.O. Box 44599,
00100, GPO Nairobi

Wakala

Mimi/Sisi ____

wa anuani hii ____

nikiwa mwanachama/tukiwa wanachama wa NIC Bank Limited na

nikiwa/tukiwa na haki ya kura ____

namchagua/tunamchagua ____

wa sanduku la posta ____

na akiwa hatapata nafasi nimechagua/tumechagua ______________________________

wa sanduku la posta ____

akiwa mwakilishi wangu/wetu kunipigia/kutupigia kura kwa niaba yangu/yetu katika Mkutano wa Mwakawa Kampuni utakaofanyika tarehe 16 Mei 2007 au tarehe yoyote iwapo mkutano utahairishwa. Nashuhudia/twashuhudia kwa mkono/mikono wangu/yetu siku hii ya

tarehe ______________________ mwezi wa ______________________ 2007

Sahihi

____

ELEWA: Mwakala akiwa anaiwakilisha kampuni yoyote au shirika nilazima atumie muhuri rasmi wa kampuni hiyo (common seal)